

DARREN GREGORY THE 9TH DELEGATE

KENYATTA UNIVERSITY DIGITAL SCHOOL OF VIRTUAL & OPEN LEARNING IN COLLABORATION WITH SCHOOL OF BUSINESS-DEPARTMENT OF BUSINESS ADMINISTRATION

BBA 100: BUSINESS STUDIES

WRITTEN BY:

PRISCILLA NDEGWA

EDITED BY:

PRISCILLA NDEGWA

INTRODUCTION

This unit is expected to provide the students with a basic understanding of issues in business. It covers a broad overview of business social responsibilities and ethics, forms of business ownership, business environment, managerial functions, authority and power in management.

Objectives

After studying this module the student should be able to:

1. Define the business and outline the main objective of a business
2. Discuss the business ethical and social responsibility concerns
3. Describe the various forms of business ownership
4. Critically analyze the business environment
5. Understand the managerial functions and authority bestowed on a manager

2014

INTRODUCTION TO BUSINESS

1.1 Introduction.....	1
1.1.1 Definition of the term business.....	1
1.1.2 Aims / objectives of a business.....	2
1.1.3 Human needs and wants-Maslow theory of need.....	2
1.1.4 The concept of utility	3
1.1.5 Input-output model of a business firm.....	3

BUSINESS SOCIAL AND ETHICAL RESPONSIBILITY

1.2 Introduction.....	8
1.2.1 Overview of business social responsibility.....	8
1.2.2 Areas of social responsibility.....	9
1.2.3 Business ethics.....	11
1.2.4 Ethical and unethical areas.....	12
1.2.6 Reasons for ethical issues	13
1.2.7 Why managers are involved in unethical behavior.....	13

FORMS OF BUSINESS ORGANISATIONS

1.3 Introduction.....	14
1.3.1 Overview of forms of businesses	14
1.3.3 Sole proprietorship	15
1.3.3.1 Formation of Sole proprietorship.....	15
1.3.3.2 Features of Sole proprietorship.....	15
1.3.3.3 Sources of finance for sole proprietor.....	15
1.3.3.4 Advantages and disadvantages of Sole Proprietorship.....	16
1.3.4 Partnership	16
1.3.4.1 Features of partnership.....	17
1.3.4.2 Formation of partnership.....	17
1.3.4.3 Contents of the partnership deed.....	17
1.3.4.4 Contents of the Partnership act.....	18
1.3.4.5 Types of partnership	18
1.3.4.6 Types of partners.....	19
1.3.4.7 Dissolution of partnership.....	20
1.3.4.8 Advantages and disadvantages of Partnership.....	21

LIMITED COMPANIES (JOINT STOCK COMPANIES)

1.4 Introduction.....	23
1.4.1 Overview of companies.....	23
1.4.2 Features of a limited company.....	23
1.4.3 Management of limited companies.....	24
1.4.4 Limited liability concept.....	24
1.4.5 Formation of limited company.....	24
1.4.6 Public limited company.....	27

DARREN GREGORY THE 9TH DELEGATE

1.4.6.1 Features of public limited companies.....	27
1.4.7 Private limited company.....	28
1.4.7.1 Features of private limited companies.....	28
1.4.8 Advantages and disadvantages of Limited Companies	28
1.4.9 Sources of capital for limited companies.....	30
1.4.10 Dissolution of a Joint Stock Company.....	30
1.4.12 Differences between public and private companies.....	31
1.4.13 Types of shares.....	31
1.4.14 Types of debentures.....	34

COOPERATIVES

1.5 Introduction.....	36
1.5.1 Overview of cooperatives	36
1.5.2 The principles of cooperatives.....	36
1.5.3 Types of cooperatives.....	37
1.5.4 Advantages and disadvantages of cooperatives.....	40

PUBLIC ENTERPRISES

1.6 Introduction.....	42
1.6.1 Overview of public enterprises.....	42
1.6.2 Reasons for state undertakings	42
1.6.3 Forms of public enterprises.....	43
1.6.4 Advantages and disadvantages of public enterprises	44

STOCK EXCHANGE MARKET

1.7 Introduction.....	46
1.7.1 Overview of stock exchange market.....	46
1.7.2 Terms Used in Connection with Various Securities and stock exchange market.....	46
1.7.3 Functions of Stock Exchange.....	48
1.7.4 Dealers in the stock exchange market.....	48

BUSINESS ENVIRONMENT

1.8 Introduction.....	50
1.8.1 Overview of business environment	50
1.8.2 Internal environment.....	50
1.8.3 External business environment.....	53

FUNCTIONS OF MANAGEMENT

1.9 Introduction.....	57
1.9.1 Overview of management.....	57
1.9.2 Planning Function.....	57
1.9.2.1 Activities involved in planning.....	58
1.9.2. 2 Characteristics of sound plans.....	58

1.9.2.3 Types of plans.....	58
1.9.2.4 Importance for planning.....	59
1.9.2.5 Limitations of planning	59

ORGANIZING FUNCTION

1.10 Introduction.....	61
1.10.1 Overview of organizing	61
1.10.2 Activities involved in organizing.....	61
1.10.3 Principles of organizing.....	61
1.10.4 Process of organization.....	62
1.10.5 Organizational structures.....	63
1.10.6 Organizational charts.....	69
1.10.7 Departmentation	70

STAFFING, LEADING AND CONTROLLING FUNCTION

1.11 Introduction.....	73
1.11.1 Staffing function.....	73
1.11.1.1 Functions of Human resource Management	73
1.11.2 Directing / leading function.....	75
1.11.2.1 Activities involved in directing.....	75
1.11.3 Controlling function.....	75
1.11.3.1 Role of controls	76
1.11.3.2 Process of controlling.....	76

POWER AND AUTHORITY

1.12 Introduction.....	78
1.12.1 Concept of power and authority	78
1.12.2 Sources of authority.....	79
1.12.3 Sources of power.....	79
1.12.4 Centralization and decentralization of authority	81
1.12.5 Delegation of authority.....	82
1.12.6 Responsibility and accountability.....	83

LECTURE ONE

INTRODUCTION TO BUSINESS

1.13 Introduction

In this lecture you will learn the main objectives of the business and its ability to satisfy human wants.

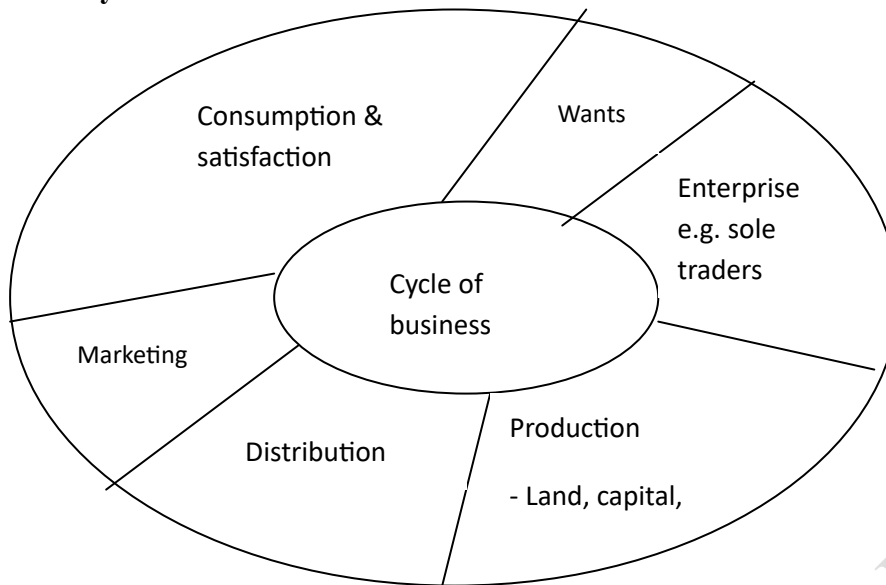
Lecture objectives

1. Define the term business
2. Understand Abraham Maslow's hierarchy of needs
3. Evaluate input output model of a business

1.1.1 Definition of the term business

A business enterprise is an organization that exists to satisfy the needs of the society through the provision and distribution of goods and services. This type of an organization is always profit seeking. We engage in business activity so that we can satisfy human wants. We do satisfy this wants through the very act of satisfaction and consumption of the useful good or service created and we must start again to supply a further batch. Economists say that consumption destroy production and we must go back to the beginning again and start another cycle of production. This cycle goes from wants through enterprise production, distribution, marketing to consumption. And back to needs as shown by the diagram below

Business cycle



1.1.2 Aims / objectives of a business

- a. To satisfy peoples' wants by providing goods and services
- b. To create employment for the owner and others.
- c. To create wealth for the country through increased output. This wealth is divided amongst various participants
- d. It provides an outlet for invention and innovation
- e. To stimulate economic growth for the country through income generation
- f. To provide independence and control for the owners who desire to be their own bosses
- g. To give an opportunity to people to exploit their potential and thus achieve self actualization
- h. To provide an opportunity to individuals to contribute to the society and be recognized for their efforts.

1.13 Human needs and wants

The most important objective of a business is to satisfy human needs and wants. Human wants can be either basic needs or secondary wants. Primary or basic needs are necessary for survival while secondary wants are concerned with improvement of quality of life not necessarily for survival. Since businesses are concerned with satisfying both needs and wants the two terms are used synonymously. The most widely recognized and accepted classification of human needs is one provided by Abraham Maslow. He argued that human needs are arranged hierarchically with physiological/basic needs occupying the lowest level , followed by safety needs ,social and belonging needs , ego and esteem needs and self actualization needs in that order. Maslow's hierarchy of needs model is depicted below :

DARREN GREGORY THE 9TH DELEGATE



- a) Biological and Physiological needs - air, food, drink, shelter, warmth, sex, sleep.
- b) Safety needs - protection from elements, security, order, law, limits, stability, and freedom from fear.
- c) Social Needs - belongingness, affection and love, - from work group, family, friends, romantic relationships.
- d) Esteem needs - achievement, mastery, independence, status, dominance, prestige, self-respect, and respect from others.
- e) Self-Actualization needs - realizing personal potential, self-fulfillment, seeking personal growth and peak experiences.

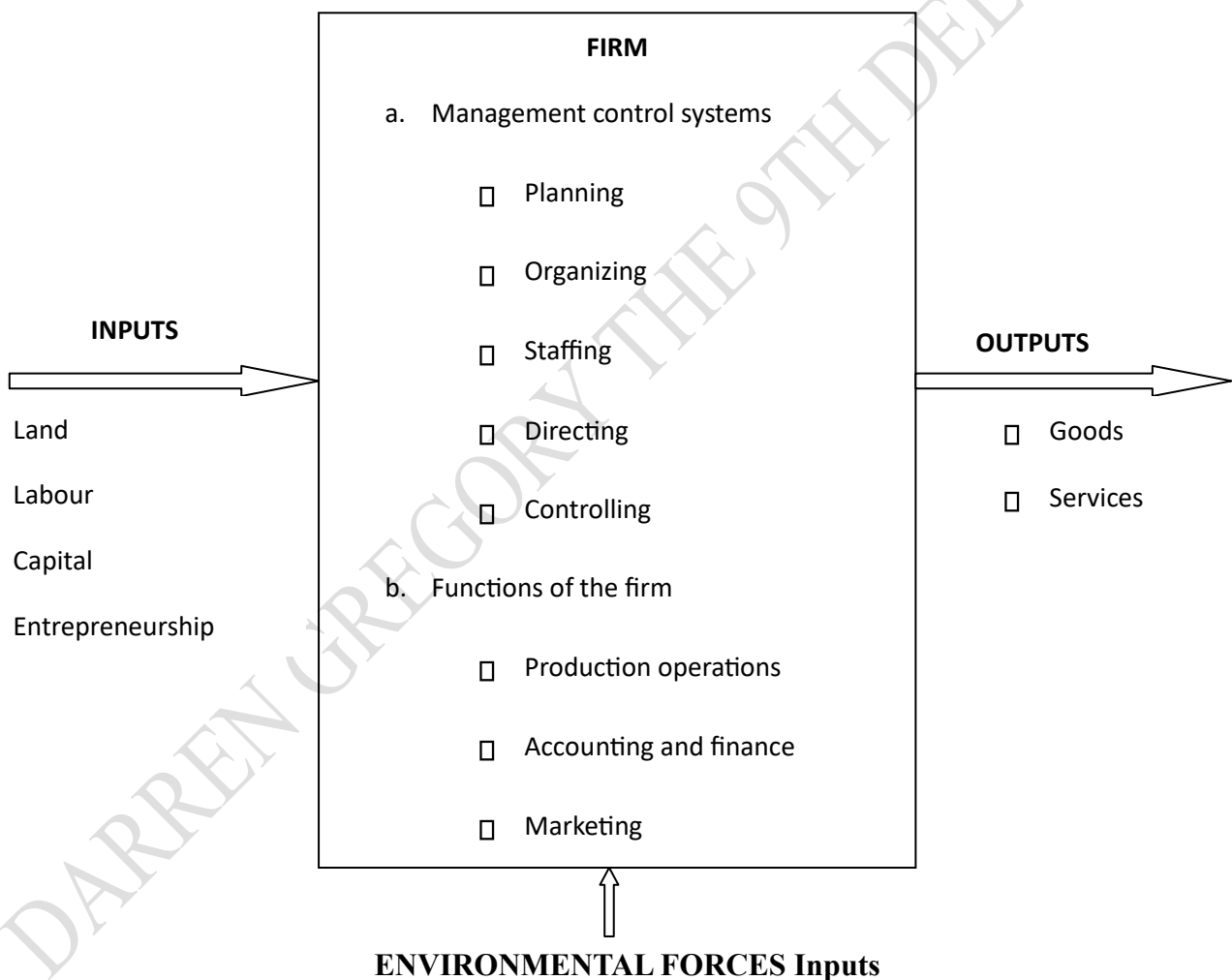
1.1.4 The concept of Economic utility

If a good or service is capable of satisfying a certain human need then it is said to have an economic utility. Economic utility is defined as the ability or capacity of a good or service to satisfy a human need. The following are the different types of economic utility:

- a. Form utility-it is created when a business converts a given raw material from its original form into another form that yields greater or different satisfaction.
- b. Place utility-it is a type of utility which is created when a trader transports products to a place which is convenient to a consumer.
- c. Possession utility-it is utility created by increasing the desire or willingness to own a product. It can be created through product promotion, marketing and when the customer finally buys the product.
- d. Time utility- it is utility created by ensuring products are made available when consumers want them. It can be created by storing products up to the time consumers require them.

1.1.5 Input-output model of a business firm

The input output model reflects the Production process through which goods and services are created to satisfy human wants. It is concerned with bringing together labor, capital, land and entrepreneurship to provide goods and services thereby satisfying wants of people at large. The model has four major elements ie the inputs, the conversion process, outputs and the environmental forces as depicted below:



These are factors of production that are used in the production process. Production is the process of creating utility in a good or the process of creating goods and services. The factors of production include;

- a. Land – payment is rent
- b. Labour – payment is wages

DARREN GREGORY THE 9TH DELEGATE

- c. Capital – payment is interest
- d. Entrepreneurship – return is profit

Land

Land is all the resources on, below or above land eg minerals, soil, rivers, lakes etc.

Land is paid rent for engaging it into use

Characteristics of land

1. It is a basic factor of production
2. Its supply is fixed and cannot be increased
3. It is immobile
4. Its quality can be improved
5. It is subject to the law of diminishing returns- quality declines as you use it.
6. It's quality is not homogenous (not uniform) - it has different level of fertility, minerals, soil texture etc

Labor

Refers to physical and mental human effort applied in production. Labour can be provided in skilled, semi-skilled or unskilled form depending on the level of education, training and experience labour is paid in wages, salaries, commission.

Characteristics of labour

1. It's a basic factor of production as it manages all other factors
2. It cannot be stored- if it is idle for some time, it is wasted
3. Labour cannot be separated from the owner
4. It is mobile
5. It is human and has emotions and ability to think

Capital

Refers to all man-made resources used in production of goods and services. In this case, it does not only refer to money but also to other items eg- equipments, machinery, tools that are used in operation of a business. These resources are also referred to as capital goods/ producer goods.

There are two types of capital;

- a. Fixed capital- consists of immovable fixed assets eg buildings. It is normally durable.
- b. Working capital or circulating capital- it lasts for a short period of time and includes raw

materials, cash, stock etc

Characteristics of capital

1. Man-made therefore under owner's control

2. Subject to depreciation (tear and wear)
3. It can be improved by technology

Entrepreneurship

It is the act of organizing other factors of production in appropriate proportion for effective production. The entrepreneur is the person who combines the three factors of production in such a way as to create goods and services. He is the owner of the production unit. His reward is profit.

Functions of an entrepreneur

1. Identifies business opportunity and starts business
2. Provides and pays the other factors of production
3. Bears risks and losses of production as well as enjoy the profits of the business.
4. Makes the decision in the business
5. Organizes all other factors of production.

The firm

The firm is the mechanism that converts inputs or factors of production into output. It does this through management control systems and functions of the firm.

Environmental forces

These are external factors that will affect the ability of the firm to achieve its objectives. They include political-legal factors. Economic factors, social-cultural factors, technological factors etc

Output

The direct outputs of a business firm are goods and services. Goods are tangible items that can satisfy human wants while services are intangible and are offered directly ie there must be direct contact between the giver and the receiver of the service. Goods can be classified into the following categories:

1. Durable goods- They last for a long period of time and can be consumed over and over again
2. Non-durable goods-They last for a short period of time and their consumption last one or a few days.
3. Producer goods- They are goods that can be used in further production. They are also referred to as capital goods
4. Consumer goods- They are goods which are ready for final consumption

DARREN GREGORY THE 9TH DELEGATE

Review questions

- ❖ Define the term business
- ❖ Giving examples distinguish between human needs and wants
- ❖ Giving examples discuss the four major types of utility
- ❖ Discuss the major elements of input output model

Further readings

1. Kibera F.N.(1996). Introduction to business Kenyan perspective. Nairobi Kenya literature bureau.
2. Gichira R.N.(2000). Commerce for Kenya. Nairobi. Macmillan Kenya limited
3. Bitte, L.R.et al (1984). Introduction to business: Business in action 4th ED., London, Letts Educational Ltd.
4. Danks, S.(1996), Business studies 3rd Ed. London, Letts Educational Ltd.
5. Rukunga (1999). Excelling in Business, Nairobi. Focus
6. Carpenter G.C (1987). The business success formula. Heinemann.

LECTURE TWO

BUSINESS SOCIAL AND ETHICAL RESPONSIBILITY

1.14 Introduction

In this lecture you will learn the ethical and social responsibilities of a business **Lecture objectives**

1. Define the terms social responsibility and ethical issues
2. Explain arguments for and against business involvement in social issues
3. Identify areas of social and ethical issues

1.2.1 Business social responsibility

The concept of business social responsibility is concerned with obligations that the business has in helping to promote the welfare of the society.

There are two major reasons that have accounted for this:

1. The society has become more enlightened and is more aware of its problems, rights and the role the business can play in social welfare.
2. The society's problems have become more alarming. Therefore now more than ever the business cannot be allowed to just sit and wait but have to play a role in solving these problems.

It is always argued as to whether or not business has any obligation to social responsibility with some scholars arguing for the social responsibilities and others against business social responsibility.

Arguments for business involvement in social responsibility

1. Business received its charter from society and consequently has to respond to the needs of the society.
2. The creation of a better social environment benefits both the society and the business. The society gains through employment opportunities and the business benefits from workforce and the demand for its products and services.
3. Social involvement enables the business to avoid government intervention. This results to greater freedom in decision making for business.

DARREN GREGORY THE 9TH DELEGATE

4. The business has a great deal of power which should be accompanied by an equal amount of responsibility.
5. The modern society is an interdependent system and the internal activities of the enterprise have an impact on the external environment.
6. Social involvement gives the business favourable public image and helps the business attract customers, employees and investors.
7. Businesses are known to come up with noble ideas. They should therefore help to solve problems that other institutions have been unable to solve.
8. The business has resources eg. Specialists, capital, managers which it should use to solve some of the society's problems.
9. It is better to prevent social problems through business involvement than to cure them eg. It may be easier to employ the hard core unemployed than to cope with social unrest caused by them.

Arguments against business involvement in social responsibility

1. The primary task of the business is to maximize profit by focusing strictly on economic activities. Social involvement diverts business attention from economic focus.
2. It is also felt that in the final analysis the society must pay for the social involvement of business through higher prices.
3. Businesses already have enough power and their involvement in social activities would further increase its power and influence.
4. Business people lack social skills to deal with societal problems because their training and experience is with economic matters.
5. There's lack of accountability of business to society unless accountability can be established, business should not get involved.
6. In pursuit of providing social responsibility, disagreements among groups with different view point will cause friction.
7. It is likely to create unfavorable balance of payments (B.O.P) because the cost of social responsibility would increase the price of exports therefore making them less attractive to the international market. NB (Balance of payment it is the difference between receipts from exports and payment for imports)

1.2.2 Areas of social responsibility

The business has an obligation to be socially responsible to various parties in the society as follows:

1. Share Holders

- a) Increase shareholders earnings by paying the best dividends possible
- b) Protect the shareholders property from fraud and damage
- c) Make full disclosure of the business dealings to the share holders eg accounting records.

2. Employees

- a) Rewarding them equitably
- b) Safeguarding their health and safety
- c) Giving them equal opportunities eg training and promotion
- d) Taking care of employees' welfare by providing facilities eg school, houses, recreational facilities, transport.
- e) Ensuring efficient personnel administration and industrial relations practices.

3. Consumers

- a) Give high quality and not defective products
- b) Educating consumers about the use of products
- c) Give them safe products
- d) Being fair in quality and price of products
- e) Avoiding misleading advertisements.
- f) Making products available to consumers ie avoid hoarding
- g) Being fair in terms of sale to consumers eg credit terms
- h) Making after- sale services available and affordable.
- i) Responding to consumers complaints in goodtime
- j) Conducting enough research before allowing a product in the market.

4. Suppliers

- a) Being fair in allocation of tenders to the suppliers
- b) Paying suppliers in good time
- c) Giving fair and reasonable terms of purchase

5. Creditors

- d) Do not default payment
- e) Paying fair and reasonable rates of interest.
- f) Paying the principle amount and interest in time

DARREN GREGORY THE 9TH DELEGATE

6. Government

- a) Complying with government laws and regulations
- b) Paying proper taxes
- c) Supporting government in welfare and development programs

7. Community

- a) Supporting and providing services eg education, health, recreation and transport
- b) Active participation in community development programs
- c) Putting in place welfare programs for the aged, handicapped, aids victims and malnourished people orphans etc.

8. General Public

- a) Creating employment opportunities and making them equal to all.
- b) Giving due consideration to the minorities and disadvantaged in society
- c) Avoiding pollution of the environment

9. Physical Resources and Environment

- a) Be actively involved in taking care of the natural resources within its environment. It may be costly to the firm but it's only fair that rather than the society being burdened with the cost of ill- health the business should meet the cost.

1.2.3 Business ethics

These are principles and standards that determine acceptable conduct in business organizations. It is concerned with good conduct, moral behaviour and right acts expected from a business. It is actually about truth and justice. Managers have a responsibility to create an organizational environment that fosters ethical decision by applying ethics. This can be accomplished in three ways.

1. By establishing an appropriate code of ethics ie rules and principles that guide behaviour.
2. By establishing a formally appointed ethics committee
3. By teaching ethics in management and development programs for managers.

Ways of enforcing ethics in business

1. Ensure that businesses have a code of ethics
2. Government should set up controls to check on illegal or unethical deeds.

3. Punishing unethical managers in public so that it may deter others.
4. Imposing laws that control unethical behaviors
5. Teach ethical subjects in school and universities

1.2.4 Ethical and unethical areas

Ethical areas in business

- a) Fair competition
- b) Advertising / truthful and accurate advertisements
- c) Engaging in Social responsibility
- d) Unexploitive Pricing
- e) Health and safety
- f) Quality of products
- g) Equal Employment opportunities

Unethical areas in business examples

- Advertising which relies on sex, violence or which is directed at children or false and misleading advertisements is unethical.
- Unfair cut throat competition aimed at getting competitors out of business □ Employing on the basis of nepotism.
- Accepting bribes from suppliers so that they can receive tenders.
- Bribing government agents so as to influence their decisions even when the business has violated the laws of the country.
- Producing counterfeit products.
- Providing underweight goods.
- Producing unsafe and low quality products
- Persecution of whistle blower eg employees who brings to the public attention business malpractices.
- Bullying in the work place □ Sexual harassment.
- Mistreatment of HIV employees
- Political lobbying with the intention of getting favours
- Large payment to company executives compared to their juniors □ Using pirated soft ware.

1.2.6 Reasons businesses should observe ethical issues

1. Business activities affect everyone in the society both as employees or as customers

DARREN GREGORY THE 9TH DELEGATE

2. Business operates in a society which is structured around moral values. The society should therefore determine what is morally right or wrong for a business to do.
3. A business that does not practice ethics may face political pressure, legal controls and even customer boycotts.
4. To comply with the requirement of the law and avoid fines and other penalties.
5. To avoid tarnishing the business image.

1.2.7 Why managers are involved in unethical behaviour

- a) The pressure to maximize profits for the business.
- b) To acquire political gains and favours.
- c) Lack of management competence.
- d) Some managers are pressured to compromise their ethical values to meet corporate demands and objectives
- e) To have maximum personal benefits.
- f) Poor remuneration
- g) General degradation of morals and values.
- h) Inability to separate between ethical and unethical behaviour ie determining what is and not ethical is sometimes difficult eg what is fair profit or fair salary?

Review questions

1. What do you understand by the term corporate social responsibility?
2. Identify practical ethical issues that government parastatals in Kenya are involved in.
3. Identify reasons why some of the managers in Kenya are corrupt.

Further readings

1. Kibera F.N.(1996). Introduction to business Kenyan perspective. Nairobi Kenya literature bureau.
2. Mark A. (19870). Business studies, Edinburg. W & R chambers
3. Bitte, L.R.et al (1984). Introduction to business: Business in action 4th ED., London, Letts Educational Ltd.
4. Danks, S.(1996), Business studies 3rd Ed. London, Letts Educational Ltd.
5. Rukunga (1999). Excelling in Business, Nairobi. Focus
6. Carpenter G.C (1987). The business success formula. Heinmann.

LECTURE THREE AND FOUR

FORMS OF BUSINESS ORGANISATIONS

(SOLEPROPRIETORSHIP AND PARTNERSHIP)

1.15 Introduction

In these lectures you will learn about soleproprietorship and partnerships forms of business ownership

Lecture objectives

4. Define the terms sole proprietorship and partnership
5. Discuss features, formation, management sources of capital, advantages and disadvantages of both soleproprietorship and partnership

1.3.1 Overview of forms of businesses

Business enterprises /organizations are of diversified nature from the point of view of ownership, control and size. A business enterprise may be owned by one person or a group of persons or it may be controlled by the owners themselves or by managers on behalf of the owners. The forms of business organizations can be classified as under

- 1) Private sector- which comprises of businesses owned by private individuals either singly or in groups. Eg sole-proprietorships, partnerships and limited companies.
- 2) Public sector-which comprises of business organizations owned by the government. The government owns them either wholly or through majority shareholding eg parastatals, local authorities.

Private sector organizations can further be classified as incorporated and unincorporated businesses.

- 3) Incorporated businesses- it is a business or a corporation with a separate entity from the business owner and has natural rights eg public and private limited companies.
- 4) Unincorporated businesses- it is a business or a corporation where the owner and an unincorporated business are the same, and the owner personally bears all risks and liabilities of the business. Unincorporated businesses are usually sole proprietorships or partnerships.

1.3.3 Sole proprietorship / sole trader business

This is a business owned and operated by one person .He is the owner and manager of the business although he may get assistance from family members or a few attendants that he may have employed.

DARREN GREGORY THE 9TH DELEGATE

1.3.3.1 Requirement for formation of Sole proprietorship

Basically the sole trader is required to look for a business premises from which to run the business and obtain a trading/single permit license from the local authority.

1.3.3.2 Characteristics of Sole proprietorship

- a) Capital is contributed by the owner who cannot appeal to the public at large to subscribe to the capital.
- b) The owner is the organizer and manager of the business assisted by members of his family. He may also employ an outsider but all the risks fall upon the owner.
- c) The owner takes all the profits and suffers all the losses and risks.
- d) The liability of a sole trader is unlimited ie in the eyes of the law there is no distinction between him and his business and in case of failure to pay debts the creditors of the business can claim payment from his personal property.
- e) It is the most common form of business ownership and is found in retail trade and persons engaged in direct services such as lawyers, doctors, accountants etc.

1.3.3.3 Sources of Finances for sole proprietor

- a) Personal savings
- b) Sale of personal assets
- c) Inheritance from parents
- d) borrowing from relatives/ friends
- e) Loans from micro finance institution eg Faulu kenya, Kenya women finance trust
- f) Loans from SACCOS
- g) Government grants in form of youth fund ,women fund and Uwezo fund
- h) Conversion of personal assets into business assets
- i) Donations/ grants from NGO's

1.3.3.4 Advantages and disadvantages of a soleproprietorof

Advantages

- i. Requires little capital to start as compared to other forms of business ownership such as partnerships and companies.

- ii. Enjoys profit alone/ his efforts thus determines profits
- iii. Easy formation process- requires only a premises and trading licence
- iv. Enjoys business secrets
- v. There is direct contact between the owner and the customer; this leads to customer satisfaction.
- vi. Control of the business is easy as the owner is the final decision maker; this often leads to fast decision making

Disadvantages

- i. Lack of sharing of responsibility thus the owner may be forced to overwork. This can lead to fatigue and sometimes health problems.
- ii. The life of the business is pegged on the life of the owner ie business continuity/perpetual succession is not guaranteed after the death of the owner
- iii. Incurs the losses and risks alone
- iv. The sole proprietorship has unlimited liability- personal assets of the owner can be sold to recover the liabilities of the business.
- v. There are limited sources of capital due to high risk levels and lack of security for debt finances
- vi. Lack of second opinion in decision making; this may lead to bad decisions.

1.3.4 Partnership

A partnership is an association between two or more persons carrying out a business in common with a view of making profit; two or more people jointly run the partnership. The number of the partners will depend on the type of the partnership eg trading business that do not require any professionalism may have 2-20 partners while personal and Professional business partnership that requires skills of operations such as medical and advocate practice may have 2-50 partners. The partnership is managed by the partners. They share responsibilities and duties according to their availability. However they can hire people to work for them.

1.3.4.1 Features of partnership

- a) Just like sole proprietor partners have unlimited liabilities i.e. partners are held liable for the debts of the business and they risk losing their personal property to meet such debts.
- a) The partners contribute the capital to start and run the business and no appeal is made to the public to subscribe to the capital.

DARREN GREGORY THE 9TH DELEGATE

- b) The partnership has a limited life i.e. it lacks continuity on death withdrawal, bankruptcy, retirement of a partner.
- b) Each partner act as an agent of the firm with authority to enter into contract on behalf of the partnership.
- c) Each partner is responsible for the debt and losses of the firm.
- d) Responsibility, profit and losses are shared on an agreed basis

1.3.4.2 Requirement for formation of partnership

In Kenya, all partnerships are formed in accordance with the partnership Act. The formation of partnership may be simply by agreement between the partners. Partners can agree to use their personal name to constitute the name of the firm or use a name quite distinct from their own. If they use a name distinct from their own, the partnership's name must be registered under the registration of business names act. Partners should also agree on how the proposed business will be run to avoid future misunderstanding. The partnership agreement can be oral or written. A written legal agreement is referred to as a **partnership deed**.

1.3.4.3 Contents of the partnership deed

- ❖ Name, address, location and nature of the business.
- ❖ Names, addresses, occupations, duties and rights of the partners.
- ❖ Types of partners.
- ❖ Salaries to be paid to the active partner
- ❖ Amount of capital to be contributed by each partner.
- ❖ Duration of the partnership.
- ❖ The procedure for sharing profits and losses.
- ❖ Method of dealing with the death, retirement and insolvency of a partner.
- ❖ Methods of admitting a new partner.
- ❖ Methods of solving disputes.
- ❖ Agree on what should be done on the dissolution of partnership ❖ Interest to be charged on capital and drawings.

NB: Drawings is anything taken by the partners for their own personal use and not for business purposes.

In the absence of a partnership deed the business should be governed by a partnership Act as provided by the laws of Kenya.

1.3.4.4 Contents of the Partnership act.

- ❖ All the partners must contribute equal capital.
- ❖ Every partner must take part in management of the partnership.
- ❖ No salary is payable to any partner.
- ❖ No interest will be allowed on capital or drawings
- ❖ Losses and profit will be shared equally
- ❖ Every partner has a right to inspect the books of account
- ❖ No partner should carry a competing business
- ❖ No admission of a new partner without the consent of all the partners
- ❖ Anyone partner who incur loss on behalf of the partnership must be compensated.

1.3.4.5 Types of partnership

a. Ordinary/ general/unlimited partnership

This is a partnership in which all members have unlimited liability ie. They are answerable for all debts of the firm to the extent of selling their personal property.

b. Limited Partnership

This is a partnership in which the liability of the members is restricted to the amount of capital they have put into the business. Limited partners do not participate in the management of the firm. Therefore there must be at least one partner whose liability is unlimited.

c. Temporary Partnership

This is a partnership formed for an agreed period of time. Its ripe period is known when it is being formed eg. Two constructors may come into partnership to undertake a certain project and after its completion, they dissolve the partnership.

d. Permanent Partnership

It's meant to continue indefinitely and therefore its end is not known. e.g. the two constructors mentioned above may continue taking one project after another indefinitely.

e. Trading partnership

This is a partnership whose major activity is production, purchasing and selling of goods.

f. Non –trading partnership

DARREN GREGORY THE 9TH DELEGATE

It is a partnership whose major activity is to provide services to the public eg medical, advocacy and accounting services.

1.3.4.6 Types of partners

i. Active partner

He is involved in daily management/operation of the partnership on behalf of the other partners. He is normally paid a salary for assuming this role. However it should be noted that the other partners are equally liable for the actions of the active partner.

ii. Sleeping / passive/ dormant/ silent partner

This partner is not involved in the day to day affairs of the business. He invests capital into the business but his share of profits will generally be lower than that of the active partner.

iii. Real partner

He is real partner in the sense that he contributes capital, shares in losses and debts of the business. He was also present when the partnership was coming to being.

iv. Quasi/ nominal partner

He is a half partner in the sense that he does not contribute capital or share in the losses and debts of the firm but shares in the profits. He only allows the business to use his name as a partner. He is normally a celebrity or a famous person who has been admitted into the partnership to influence customers or for prestige.

v. Major partner

This is a partner who has attained the age of the majority (18years); this partner shares in the losses and liabilities of the partnership

vi. Minor partner

This is a partner who has not attained the age of the majority and is admitted with the consent of all existing partners. He does not share in the losses but shares profits. The liability of the minor is limited only to the amount of capital contributed to the business since any liabilities arising may not be part of his decision making. The minor partners can act on behalf the partnership and such acts shall be binding on the other partners. When the minor partner attains the age of majority he/she has up to six months to decide whether or not to continue with the partnership. If he/she decides to stay, he has full responsibilities and rights of a major partner.

1.3.4.7 Dissolution of partnership

This is bringing a partnership to an end. A partnership may be dissolved in the following circumstances:

a) Dissolution by the partners

- i. When the fixed time if any are stated in the articles of the partnership expires.
- ii. If the partnership was specifically entered into for a given venture, transactions or undertakings the completion of which or achievement will automatically dissolve the partnership.
- iii. If the partnership is a partnership at will, it can be dissolved by any partner giving notice of his intention to dissolve the partnership.
- iv. By mutual consent of all partners
- v. By bankruptcy or death of one the partners.

b) Dissolution by law

- i. Withdrawal, bankruptcy or death of general partner.
- ii. If any events occur which will make the partnership business illegal, the partnership will stand dissolved irrespective of the content of the partnership deed.

c) Dissolution by the court order

A court may order a partnership to be dissolved if a partner applies for the court order. It may be based on the following circumstances.

- i. By one partner's shares in the partnership being changed or attached by a court order for private debts.
- ii. If any one of the general partners becomes insane
- iii. If any of one partner becomes permanently incapacitated thus incapable of performing his/her duties.
- iv. Where a partner has acted in a manner which is pre-judicial to the carrying out firm's business and may bring the name of the business to its disable.
- v. Where a partner was found guilty of breaching the partnership contract.
- vi. Where the firm has been operating in losses.
- vii. Internal disagreements
- viii. Incase of serious fraud

1.3.4.8 Advantages disadvantages of partnerships

Advantages

- a) It is easy to form- there are few legal formalities required as compared to larger companies
- b) There is freedom to undertake any business agreed upon
- c) More capital can be raised from the members contribution making it easy to expand

DARREN GREGORY THE 9TH DELEGATE

- d) There is specialization with each partner taking part in the areas they are best suited ie the partnership enjoys a variety of skills and talents since people have different methods of knowledge ideas and experience leading to efficiency.
- e) There is even distribution of work which reduces the work load and fatigue for each partner
- f) Losses and liabilities are shared among the partners
- g) Better decision making as compared to sole proprietorship arising from consultation
- h) Easy to dissolve without legal formalities

Disadvantages

- a) Have unlimited liability except for limited partnership and limited partners ie the general partners are liable for the debts of the firm and may lose their personal property to meet the debts of the partnership
- b) Partnership has a limited life- death, retirement, bankruptcy of a partner may suddenly cause dissolving of the partnership.
- c) Continued disagreement may lead to dissolution of the partnership
- d) Has limited access to capital since partnership is not a separate entity like joint stock companies obtaining loans from banks may be difficult.
- e) Less freedom of action compared to sole traders as all the partners must agree before a decision is made.
- f) Agency problem ie Any agreement entered by one partner on behalf of the other become binding on all partners
- g) A hardworking partners efforts are enjoyed by other partners
- h) Slow decision making as all the partners must agree on issues.
- i) Overreliance on one partner may affect the partnership adversely incase the partner retires, dies or withdraws.

Review questions

1. Differentiate between sole proprietorships and partnerships
2. What is the difference between general partners and limited partners
3. In the absence of a partnership deed the partnership act prevails. Distinguish between partnership deed from partnership Act and outline the contents of each.
4. outline the conditions under which a partnership may be dissolved

Further readings

1. Kibera F.N.(1996). Introduction to business Kenyan perspective. Nairobi Kenya literature bureau.
2. Mark A. (19870). Business studies, Edinburg. W & R chambers
3. Hammond s. (2000), business studies. Longman crop limited
4. Gichira R.N.(2000). Commerce for Kenya. Nairobi. Macmillan Kenya limited
5. Rwabutoga,.G.R. and Spencer((1986). A text book of commerce. Nairobi. Heinemann Kenya Limited.
6. Bitte, L.R.et al (1984). Introduction to business: Business in action 4th ED., London, Letts Educational Ltd.
7. Danks, S.(1996), Business studies 3rd Ed. London, Letts Educational Ltd.
8. Rukunga (1999). Excelling in Business, Nairobi. Focus
9. Carpenter G.C (1987). The business success formula. Heinemann.

LECTURE FIVE AND SIX

LIMITED COMPANIES (JOINT STOCK COMPANIES)

1.16 Introduction

In these lectures you will learn about limited companies forms of business ownership **Lecture objectives**

6. Define joint stock companies
7. Discuss features, formation, management sources of capital, advantages and disadvantages of limited companies

DARREN GREGORY THE 9TH DELEGATE

1.4.1 Overview of companies

A company is an association of persons who contribute capital by buying shares in order to carry out business together with a view of making profit. A limited company is formed under the companies act and is a legal entity, separate and distinct from its members. A company is formed to exist indefinitely until it is liquidated/ wound up or dissolved. It is an association recognized by the law as having an existence that is separate and distinct from its owners. It has the following rights and obligations as a natural person:

- It can own and dispose property
- It can enter into contract in its own name
- It can hire and fire employees
- It can sue and be sued
- It can form agencies
- It can disseminate information

1.4.2 Features of a limited company

1. It has a legal personality and has rights and obligation of a natural person – it is an artificial person and has the right to own property, sue and be sued in a court of law, enter into contracts in its own name etc
2. It has a legal entity, separate and distinct from its owners/members
3. Its capital is divided into transferable shares
4. It has a perpetual succession- continues indefinitely until it is liquidated- the company is not affected by the death, retirement, bankruptcy of a share holder.
5. It is managed by a board of directors
6. Members cannot bind a company by their acts
7. It has limited liability

1.4.3 Management of limited companies

The management of a company is in the hands of the board of directors. The initial directors stay in the office till the first meeting (AGM) is held at which new directors are elected. The size of the board is usually determined by the size of the company. Board of directors is charged with the responsibility of formulating and overseeing the implementation of company policies. The board is normally supported by a team of professionals employed to be responsible for the day to day management of various departments. For a public limited company, the directors are required by law

to present the company's financial statement at the AGM meetings and filed with the registrar of companies

1.4.4 Limited liability concept

This concept arises due to the fact that liability of members is restricted to the amounts of capital contributed by members and members cannot be called upon to contribute any more money from their personal resources to meet the company's debts. A company can be limited by shares or guarantee.

Companies limited by guarantee

These are companies in which each member guarantees to contribute a fixed sum of money towards the liabilities of the company as long as he/she remains a member. In other words the members' liability is limited by the amount the members have agreed to contribute towards the payment of debts. The members can only be called upon to pay for companies debts up to the amount guaranteed by them.

Companies limited by shares

The liability of each share holder is restricted to the value of the shares held by him/her ie members can only be called upon to pay for company's debts up to the capital they have contributed.

1.4.5 Formation of limited company

In Kenya, limited companies are formed according to the company's act of 1962(chapter 486)

For a company to be formed there must be some founder member who comes up with the idea of forming the company. These founder members are referred to as promoters. Promoters oversee the birth of a new company and they are in charge of all the requirements and operations until the company is fully in operation. To form a private ltd company two promoters are required and a public ltd co. requires seven promoters.

The promoters are supposed to submit to the registrar of companies these documents:-

- i) Memorandum of association ii) Articles of association iii) List of directors (names, addresses, occupations and statement of agreement to serve as directors)
- iv) Declaration that registration procedure has been duly complied with

DARREN GREGORY THE 9TH DELEGATE

Memorandum of Association

It is a document that gives information to the outside world about the company ie it governs the relationship between the company and outsiders. It tells the outside world the objectives of the company (what the company was formed to do) its powers, location, the capital it requires etc.

Contents of the Memorandum Of Association

- i) **Name clause-** this clause states the name of the company with the word limited as the last word in the name. The word limited shows the public that the liability of members is limited by shares or guarantee. A company can select any name as long as :
 - It is not prohibited by the law
 - Not similar to another
 - It has no immoral intention
 - It is not abusive especially to the government and presidency.
- ii) **Situation clause-** it gives the location of the registered office of the company ie:
 - Where the company is situated ie city, street, building
 - Where the company's letters can be delivered
 - Where the company can be summoned
- iii) **Objectives clause-** it outlines the objectives of the company ie activities it is authorized to engage in. A company can only carry out the objectives specified in the memo and beyond such powers it is termed ultra-vires. The objective clause serves the following purpose:
 - Defines the limits of the company's operations
 - Informs the shareholders the purpose their money is put to
 - Protects the subscriber from misuse of their money
 - Protects outsiders by informing them the limits of the company's operations
- iv) **Liability clause-** Shows the liability of the members indicating that they are limited. It is meant to protect the outsiders who may enter into contracts with the company.
- v) **Capital clause-** it shows the nominal authorized capital ie amount of capital which the company is authorized to raise by sale of shares, the subdivision of this capital into units of shares and the value of each share.

Articles of Association

Gives a guideline on how the internal affairs of the company should be run i.e. it outline rules and regulations that should guide the relationship between the company and its share holders and relationship between shareholders themselves.

Contents: of Articles of Association

- a) Types of shareholders eg ordinary or preference shares
- b) Rights of shareholders eg voting rights
- c) Procedure of Issuing and transferring of shares
- d) Procedure of calling and conducting general meetings
- e) Qualifications, duties, powers of directors
- f) Provides guidelines on how officials should be elected eg chairpersons, directors, auditors
- g) Guidelines on how books of accounts should be audited
- h) Procedure of altering share capital

When the above required documents are presented to the registrar of companies and found satisfactory a **certificate of incorporation** is issued. The certificate gives the company legal existence and a separate legal entity. After acquiring a certificate of incorporation a private ltd company can start doing business while a public ltd company must wait for a certificate of trading before it is allowed to start business activities. The certificate of trading gives the company power to commence its business activities. The company must also acquire a trading licence from the local authority in the area it is operating.

Differences between memorandum of association and articles of association

Memorandum of association	Articles of association
It deals with relationship between company and outsiders	It deals with relationship between company and its members
It must be prepared by all companies before it is registered	It is not mandatory before registration
It is a main document required for registration	It is a subsidiary document
Can only be amended by law	Can by be amended by special resolution by the members

DARREN GREGORY THE 9TH DELEGATE

Contain specific number of clauses for companies	Contains varied information depending on the company
--	--

Types of limited companies

Companies can assume two forms:

- 1) Public limited companies
- 2) Private limited companies

1.4.6 Public limited company.

Public limited companies invite any member of the public to subscribe to their shares ie it draws its members from the whole country. Its membership ranges from seven shareholders to infinite.

1.4.6.1 Features of public limited companies

i) It has a minimum of 7 shareholders and no maximum limit ii)

The liability of the members is limited

iii) It is allowed to subscribe its shares to members of the public i.e can sell share through the stock exchange market.

iv) It must have an authorized share capital authorized by the government v) Shares are freely transferable from one shareholder to another vi) It is managed by a board of directors- minimum of three directors vii) It cannot start its business activities after receiving a certificate of incorporation but has to wait for a certificate of trading.

viii) It is required by the law to publish its final books of accounts in the news paper

1.4.7 Private limited company

Private limited companies draw their members from a selected group of people eg family members, group of friends, work colleagues etc. its membership ranges between 2-50 shareholders.

1.4.7.1 Features of private limited companies

i) It has a minimum of 2 members and a maximum of 50 members ii) It is not allowed to call upon members of the public to subscribe to its shares ie it cannot sell shares through the stock exchange market. This is because its shares are sold privately to a selected group of people

iii) Members cannot transfer shares freely without the approval of the board of directors iv) It can be managed by one or two directors however a big private ltd company requires a board of directors

- v) It can start business immediately after receiving a certificate of incorporation. It does not have to wait for a certificate of trading.
- vi) Its final accounts are confidential ie it is not required by law to publish its accounts
- vii) It's not necessarily required to prepare the memorandum of association.
- viii) The liability of the members is limited

1.4.8 Advantages and disadvantages of Limited Companies

Advantages of limited companies

1. They have access to large amount of capital raised by sale of shares
2. Companies have perpetual succession- enjoy continuity of business ie not affected by death, withdrawal or bankruptcy of a member.
3. Shareholders have limited liability
4. Practice specialization because companies have strong financial base to employ specialists
5. Risk of loss is spread to all the members
6. They enjoy economies of scale ie benefits of large scale operation eg discounts for purchasing in large quantities
7. They enjoy service of experts in different fields
8. They enjoy separate legal entity from the members who own them

Additional advantages for public limited companies

- 1) They have a wider access of sources of capital than private limited companies
- 2) Their books of accounts must be published and this safeguards shareholders against fraud by management.
- 3) Their shares are freely transferable

Additional advantages for private limited companies

- 1) They can be formed more easily than public limited companies
- 2) Unlike public limited companies they can start their business operations immediately after receiving a certificate of incorporation.
- 3) They are not necessarily required to prepare the memorandum and articles of association.
- 4) Their final accounts are confidential ie they are not required by law to publish their accounts

Disadvantages of Limited Companies

1. They require large amount of capital to establish
2. They require to comply with complicated legal procedures
3. Slow decision making because all decision require approval of Board of directors

DARREN GREGORY THE 9TH DELEGATE

4. Shareholders do not participate in management of their own business.
5. It is difficult for shareholders to control the company as management is left in the hands of the board of directors
6. Companies are subjected to high taxes by the government
7. There are chances of mismanagement of shareholders property by directors
8. They must have their accounts audited before presentation to the shareholders
9. They must hold shareholders annual general meetings

Additional disadvantages for public limited companies

1. Their operations are limited by the objectives clause in the memorandum of association
2. They are more costly to form than private limited companies
3. They are exposed to excess government control
4. Minority shareholders are neglected as they have little say in the affairs of the company
5. The accounts of the public company must be published; so there can be little secrecy or privacy about its affairs
6. Sometimes a public limited company grow so big that it becomes difficult to manage

Additional disadvantages for private limited companies

1. They have limited access to a wider range of capital as compared to public limited companies because they can't invite members of the public to subscribe to their shares
2. Share transfer is restricted to members only
3. They cannot achieve major benefits of economies of scale as much as public ltd companies

1.4.9 Sources of capital for limited companies

1. From the public through the sale of shares
2. Borrowing from commercial banks and other financial institutions
3. Overdrafts from banks
4. Government institutions eg KIE (Kenya Industrial Estate), ICDC (Industrial and Commercial Development Corporation IDB (Industrial Development Bank) e.t.c
5. Getting Supplies inform of trade credits.
6. The business itself inform of retained profits
7. Acquiring property on hire purchase
8. Acquiring property on lease and mortgage
9. Rent revenue ie earnings from any investments
10. Profits ploughed back into the company

1.4.10 Dissolution of a Joint Stock Company

When a company has started it's expected to continue with its operations to the future since it is a form of business with perpetual succession. Termination of the life of a company may be through;

1. Failure to commence business within one year of its formation – upon this it may be wound up by a court order on application.
2. The membership falling below the required minimum and this dissolution may be decided by a court order.
3. Accomplishment of the purpose or expiry of the period of operation.
4. If it fails to comply with statutory requirements of registration e.g failure to file annual files to the registrar of companies or engaging in illegal activities.
5. A resolution by members to voluntarily wind up the company which may arise through;
 - a. where the company does not have a future on that line of business
 - b. The members wish to sell it as a going concern in order to share profits.
 - c. Where one company is acquired by another and the members wish to discontinue it so as to terminate its existence as a separate legal entity.
 - d. Through a merger with a larger company
 - e. Insolvency – the company is not able to meet its obligations.

1.4.11 Differences between public and private limited companies

Public limited companies	Private limited companies
Have a minimum of 7 shareholders and no maximum	Have a minimum of 2 shareholders and a maximum of 50 shareholders
Shares are freely transferable	Shares cannot be transferred freely without the consent of other members
Invite members of the public to subscribe to shares- can sell through the stock exchange	Cannot invite members of the public to subscribe to shares
Required by the law to publish annual accounts	Not required by the law to publish annual accounts
Cannot start operations after receiving certificate of incorporation but must wait for certificate of trading	Can start business operations immediately after receiving certificate of incorporation

DARREN GREGORY THE 9TH DELEGATE

Must have authorized share capital as authorized by the government	It's not a requirement to have authorized share capital
Must always have a board of directors(minimum of three)	Can operate with even one director.
Must prepare memorandum of association	It is not mandatory

1.4.12 Types of shares

A public limited company should prepare a **prospectus** to invite the members of the public to subscribe to its shares. A prospectus is a document that gives the necessary information about the company eg the past history and all the information contained in the memorandum of association.

There are two major types of shares that can be issued by Joint stock companies:

1. Ordinary shares
2. Preference shares

Ordinary shares

All companies issue ordinary shares which are sometimes referred to as the risk capital of the business. This is because the owner of the share receives a dividend on them only if there are sufficient profits. If profits are too low or no profits are made the ordinary shareholders do not receive dividend. In exchange for the risk the ordinary shareholders have the control of the company in that they have one vote for each share when it comes to electing board of directors who are responsible for the general policy of the company

Characteristics of ordinary shares

- a) It is permanent in nature and can only be refunded in the event of liquidation/dissolution of the company.
- b) It earns ordinary dividends as a return to the investments.
- c) The investors carry voting rights and usually each share is equal to one vote.
- d) The ordinary shares are quoted at the stock exchange where they are sold and bought.
- e) It carries the highest risks in the company because it gets its return after other types of shares have got theirs and also in the event of liquidation it is paid last.
- f) The ordinary dividends are not a legal obligation on the part of the company to pay.

- g) Where the profits are good ordinary shareholders get the highest return because their dividends are varied.
- h) This type of finance grows with time and this growth is equity which basically is facilitated by retention earnings.

Advantages of Ordinary Share to Shareholders

1. Ordinary shares have a right to vote and their votes influence the company's activities.
2. Ordinary shareholders can use their shares to secure loan.
3. Ordinary shares are easily transferable.
4. The owners of the ordinary shareholders earn dividends in perpetuity. .
5. The ordinary shareholders benefit from the residual claim in the event of liquidation ie they are entitled to all the remaining profits and properties of the company after all other types of shares and creditors have been paid

Disadvantages of Ordinary Shares.

1. Receives no dividend during low or non-profit years.
2. In case of liquidation an ordinary shareholder may lose everything.
3. The sale of more ordinary shares dilutes ownership of the existing shareholders.
4. The dividends of an ordinary shareholder are double taxed.

Preference shares

While ordinary shares provide an attractive investment for those who do not mind the risk of getting no reward in low income years others find that preference shares offer a safer investment because they earn fixed dividend whether the company makes profits or not.

Preference shares falls into several groups 1. Basic preference shares

Holders of which receive a fixed dividend out of profit of the company

2. Accumulative preference shares

A dividend missed in one year is carried forward to the next year

3. Non accumulative preference shares- A dividend missed in one year is not carried forward to the next year ie it is foregone completely

DARREN GREGORY THE 9TH DELEGATE

4. Participating accumulative preference shares

Not only carry a fixed rate of dividend but also entitle their holders to a further share of surplus profits together with ordinary shares.

5. **Redeemable preference shares**-these are shares that are bought back by the company after a stated period of time.

6. **Irredeemable preference shares** - these are shares that are never bought back by the company after a stated period of time. They keep on earning dividend as long as the company is in operation.

NB Most preference shareholders have no say in the control of the company as majority do not offer permanent capital and have privileged position with respect to dividends payment.

Debentures

If a company does not raise enough capital by selling shares it can also issue debentures. A debenture is a certificate that gives evidence that a company has borrowed money from the person named on its face and undertakes to pay a fixed rate of interest for it. Debentures are simply loans to the company on which a fixed rate of interest are paid even when preference or ordinary shares holders do not receive anything. Unlike shares debenture holders do not share in the ownership of the company.

1.4.13 Types of debentures

- a. **Secured debentures**- They are secured ie some property is pledged against them ie the company must secure them with some properties. That is to say if the company fails to pay them, the agreed property must be sold and proceeds used to repay the debentures holders
- b. **Naked/unsecured debentures**- They have no security pledged against them.
- c. **Redeemable debentures**- they are redeemed back by the company after a specified period where holders surrender them back and they are paid principle amount plus interest accrued.
- d. **Irredeemable debentures**- they are never bought back unless the company dissolves.

Advantages of debentures

- a. The holders do not have management control of the company
- b. They do not share residual profits or assets
- c. They are cheaper than to float shares
- d. They can also be issued by private ltd companies

Disadvantages of debentures

- a. Interest payable is mandatory whether profit are made or not
- b. Most of them require security in form of assets
- c. Failure to pay interest can make creditors put the company into liquidation
- d. The company has to put the money aside to redeem the shares when due
- e. Debenture just like any other Creditors usually give many restrictions

Differences between shares and debentures

Shares	Debentures
a. Share is part of capital for the company	a. A debenture is a loan to the company
b. A share create an owner of the company	b. A debenture creates a creditor of the company
c. A share receives dividend as a return	c. A debenture receives interest as a return
d. Most Shares are paid dividend only when the company makes profit	d. Debenture holders are paid interest whether the company makes profit or not
e. Share holders have voting rights	e. Debenture holders do not have voting rights

Review questions

1. What is a joint stock company
2. Identify and explain the documents that the persons forming a joint stock company are required to furnish the registrar of companies with and the purposes of these documents.
3. Discuss the merits and demerits of different types of shares of a joint stock company 4. Critically discuss the pros and cons of limited companies

Further readings

1. Kibera F.N.(1996). Introduction to business Kenyan perspective. Nairobi Kenya literature bureau.
2. Mark A. (19870). Business studies, Edinburg. W & R chambers
3. Hammond s. (2000), business studies. Longman crop limited
4. Gichira R.N.(2000). Commerce for Kenya. Nairobi. Macmillan Kenya limited
5. Rwabutoga,.G.R. and Spencer((1986). A text book of commerce. Nairobi. Heinmann Kenya Limited.
6. Bitte, L.R.et al (1984). Introduction to business: Business in action 4th ED., London, Letts Educational Ltd.

DARREN GREGORY THE 9TH DELEGATE

7. Danks, S.(1996), Business studies 3rd Ed. London, Letts Educational Ltd.
8. Rukunga (1999). Excelling in Business, Nairobi. Focus
9. Carpenter G.C (1987). The business success formula. Heinmann.

LECTURE SEVEN COOPERATIVES

1.17 Introduction

In this lecture you will learn about cooperatives as a form of business unit **Lecture objectives**

1. Define cooperatives
2. Discuss principles, types, benefits and problems of cooperatives

1.5.1 Overview of cooperatives

The origin of cooperatives dates back to the colonial times when the European. Farmers in East Africa formed associations to undertake the task of collecting and purchasing in bulk the firm inputs as well as marketing the produce for farmers. A cooperative is an association of people with a common interest who have found out that the best way to take care of their interest is to join together. The people involved in activities of the cooperative include individual members, executive committees (elected by members) and staff.

The people who desire to form cooperatives should be at least ten in number and must be willing to abide with the by-laws of the cooperative.

1.5.2 The principles of cooperatives

These are ground rules that guide the operation of cooperative movement:

1. Voluntary and open membership

A cooperative should be open to all who meet the requirements of the by-laws and are ready to accept them. There should be no discrimination on the basis of social, political, racial or religious background. A person is therefore free to join and leave a cooperative at his/ her discretion.

2. Democratic administration

A cooperative is run on the basis of one member one vote regardless of the number of shares held by a person.

3. Dividend payment

The surplus profit of the cooperative should be distributed to the members in form of dividend payments.

4. Limited interest in share capital

Interest on share capital should be paid at a fixed rate as laid down by the cooperative rules

5. Promotion of education

There should be education for the members, committee and the staff about cooperative ideals and principles and administration. This can be done through seminars, study tours and in-service courses

6. Cooperation with other cooperatives

The cooperative should cooperate with other cooperatives at local, national and international levels as they have a lot in common.

7. Non- profit making

They should meet the individual common interest such as looking for better market for members' products, savings for members without a profit- making motive. The moneys received should only go to the education expenses.

Duties of the Members of cooperatives

1. Contribute to the capital of the cooperative
2. Be loyal to the cooperative
3. Take part in the main activities of the cooperative
4. Take part in the management by attending and voting at meetings
5. Where practical buy or sell from or to the cooperative

DARREN GREGORY THE 9TH DELEGATE

1.5.3 Types of cooperatives

1. Producer cooperative societies

These are formed by producers who join together in order to improve the production and marketing of their products eg. Kenya planters cooperative union, New KCC (Kenya creameries cooperative

Functions for producer cooperatives

- a) Negotiate for better prices with buyers of the produce
- b) Collecting and grading members produce
- c) Providing better storage facilities
- d) Some producer cooperatives process the produce in order to improve its quality and its marketability.
- e) They market produce on behalf of the members
- f) They avail credit facilities in form of loans to members
- g) They act as government agencies through which funds, fertilizers, tools and equipment are distributed.

Problems of producer cooperatives

- 1. Lack of specialized and qualified staff because they are managed by farmers who lack the right skills.
- 2. Financial problems especially when members fail to pay loans given to them. This curtails the improvement of these cooperatives
- 3. They suffer from political interference as they are linked and controlled by certain government ministries.

2. Consumer Cooperatives

These are cooperatives formed by consumers in order to try to keep down the cost of living for their members by running shops in which goods of good quality are sold at reasonable prices.

Functions of consumer cooperatives

- a) To offer goods to members at reasonable prices
- b) Provide good quality goods to members
- c) Give members interest on their capital.
- d) To ensure there's continuous supply of the product for members and thus avoid hoarding of goods by retailers
- e) To provide a variety of goods to the members

- f) To offer goods on credit to the members.

Problems of consumer cooperatives

1. Competition from large scale retailers eg supermarkets which sell goods to consumer at lower prices
2. Lack of sufficient capital for expansion since majority of members are low income earners
3. Non- members are reluctant to buy from the consumer cooperatives.
4. Inability to employ qualified staff as they can't afford to pay employees.

3. SACCOS (savings and credit cooperative societies)

These are societies that are formed by employees in different professions to enable them save and acquire loans at very competitive rates. The loans are given out of the members accumulative saving and thus help employee to improve their living standards

Benefits of SACCOS.

1. Members are able to get loans on favourable and fair terms as compared to getting them from banks
2. Members are able to raise their living standard because they can get loans to engage in development projects.
3. Interest charged by SACCOS are relatively lower
4. There's no collateral required as is the case with banks
5. If a member died the dependants do not pay the loan
6. Members receive annual dividends based on their accumulated shares.

4. Housing societies/cooperatives

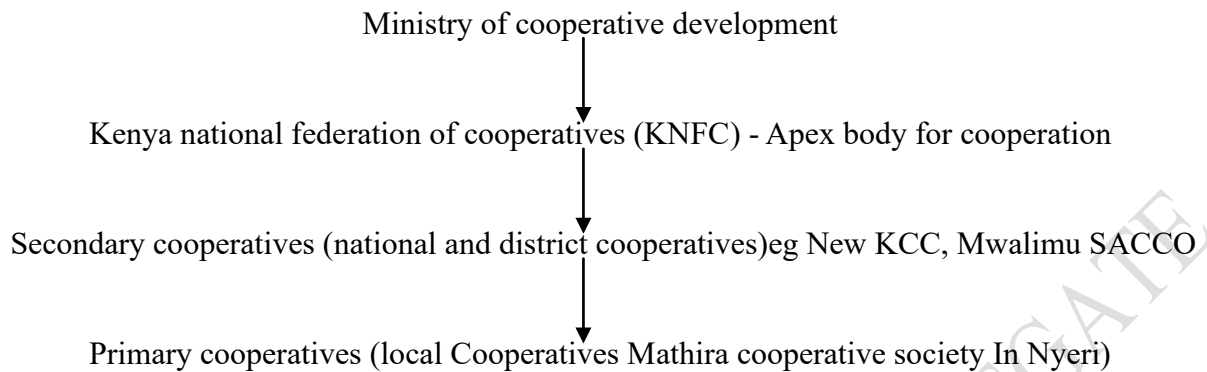
These are cooperatives that enable members to acquire residential houses at low costs. They are also known to engage in real estate business.

5. Marketing cooperatives

They are formed by producers to provide marketing facilities for their produce

DARREN GREGORY THE 9TH DELEGATE

Typical structure of cooperatives



Other cooperative bodies in Kenya include

1. Cooperative bank of Kenya- provides banking services to cooperatives in Kenya
2. Cooperative college of Kenya – provides training to cooperative staffs
3. Cooperative insurance services limited- provides insurance services to cooperatives in Kenya

NB: The above bodies have opened their services to the members of the public

1.5.4 Advantages and disadvantages of cooperatives

Advantages of cooperatives

1. They operate on large scale therefore enjoy economies of scale and as a result provide services to the members at low costs.
2. The interests of members are served more effectively through collective ownership
3. Members share in the profits of the cooperative according to the trading activities of the cooperative
4. They are run on a democratic basis giving the members an opportunity to be actively involved in the running of the cooperative
5. Help members improve their standards of living
6. Enable the government to ensure a fair distribution of wealth within the population.

Disadvantages of cooperatives

1. They lack highly- skilled well- paid management to promote their efficiency
2. The share capital is normally withdrawable posing problems of adequate finances to promote successful expansion of cooperatives
3. Corruption and embezzlement of funds by management

4. Members of the cooperatives are not keen on how the affairs of the cooperatives are run giving the management an opportunity to exploit them

REVIEW QUESTIONS

1. What is a cooperative organization?
2. Discuss the typical structure of cooperatives in Kenya
3. Discuss the challenges faced by producer cooperatives in Kenya

Further readings

1. Kibera F.N.(1996). Introduction to business Kenyan perspective. Nairobi Kenya literature bureau.
2. Rukunga, (1999).
3. Mark A. (19870). Business studies, Edinburg. W & R chambers
4. Hammond s. (2000), business studies. Longman crop limited
5. Gichira R.N.(2000). Commerce for Kenya. Nairobi. Macmillan Kenya limited
6. Rwabutoga,.G.R. and Spencer((1986). A text book of commerce. Nairobi. Heinmann Kenya Limited.

LECTURE EIGHT

PUBLIC ENTERPRISES

1.18 Introduction

In this lecture you will learn about public enterprises **Lecture objectives**

3. Define public enterprises
4. Explain reasons for government involvement in business
5. Identify forms of business enterprises

1.6.1 Overview of public enterprises

These are enterprises owned and run by the government. The government gets involved in business in order to prevent private enterprises from exploiting the public.

1.6.2 Reasons for state undertakings

1. To promote the general welfare of the public- some activities are undertaken by the state to promote the health, safety and general welfare of the public especially those associated with public health and safety eg water, power and drugs.
2. To encourage private investment in activities which require heavy capital but take long to bring returns eg provision of hydroelectric power, provision of education, rail transport etc. Very few private individuals are willing to invest in such activities and being vital the government must take the lead in order to encourage private investment in the areas.
3. To avoid wastage and inefficiency- some establishments are nationalized to avoid duplication, wastage and inefficiency eg provision of hydroelectric power which uses water – a scarce resource.
4. Source of revenue- the state may also operate some enterprises to raise revenue for itself in order to be able to carry out its public responsibilities.

5. To create employment- by running its own business enterprises the government is able to create employment for the citizens.
6. To control prices of products- the government will offer competition to the private sector and this will help bring down the cost of various products.
7. To take up business proving costly to private forms. The cost of management and operation may force the private investor out of business or discourage them to invest in some industries; in such a case the government comes in handy to provide those services and products that the private sector shies from.
8. Provide services that are too sensitive to be left in the hands of the private sector eg guns provision and usage.

1.6.3 Forms of public enterprises

Government undertakings may take these forms

- a) Government departments
- b) Public corporations
- c) Local authority.

a) Government Departments

These are departments that directly depend on the central government with commercial or non-commercial functions. Such departments are directly responsible to a minister eg, hospitals, school, colleges and universities etc

b) Public corporations

They can be a) statutory corporations

- b) Non- statutory corporations

Statutory corporations (parastatals) - They are created through an act of parliament ie they are formed by a law passed in parliament to serve certain important aspects of the public. Such corporations get their capital from the government and are controlled by a management board appointed by the minister responsible to the parliament. These parastatals are expected to make profits which go back to the government kitty but many times they rarely make the profits and the government has to keep on funding them. Any loss that may accrue from their operations is borne by the government and at times the citizens might be asked to pay more for services rendered.

DARREN GREGORY THE 9TH DELEGATE

Non- statutory bodies -These are government undertakings that have not been formed through an act of parliament but the government obtain control of such business units through a majority holding of shares.

These bodies are normally limited liability companies eg.

- Kenya commercial bank
- National bank of Kenya

c) Local Authority

Local authority includes city council, municipal councils, town council and county council. Today we are referring to them as county governments. These councils or county governments provide facilities such as roads, entertainment and recreation centres, libraries, social halls street lights council houses, markets, stadiums etc in their areas of jurisdiction. The capital for local authority undertakings is partly provided by the national government while the rest is raised through charging of rents and rates on council properties or through private or public loans to be repaid with interest for a number of years.

1.6.4 Advantages and disadvantages of public enterprises

Advantages of public enterprises

1. They are able to charge low prices for their services and products because they operate not on a profit – motive
2. Capital is readily available from the government or from other lenders at low interest rates.
3. Certain essential services eg education, health can be provided free or at low prices
4. State participations in these industries leads to more efficient control.
5. The relationship between the management and labour are more cordial as the government is the owner
6. Since the government undertakings operate in large scale, they are able to enjoy economies of scale.
7. Private monopoly which would overcharge for services is avoided.
8. Foreign domination of industries in the country is discouraged

Disadvantages of public enterprises

- a) Governments bear the losses of the public undertakings and this lead to higher taxation for the public.
- b) State undertakings are usually monopoly; the consumer's choice is therefore restricted.

- c) The regulations may be passed by government to restrict the progress of private enterprises and individual innovations.
- d) Private undertakings are prone to political interference which hinders the progress of the state undertakings.
- e) There's a possibility of corruption and embezzlement of funds due to poor accounting and auditing procedures.
- f) Foreign investment may be discouraged due to fear of nationalization
- g) The senior management of private undertakings is normally political appointees who normally make poor business decisions to suit their personal interest.

Review questions

1. Explain why the government is involved in business activities
2. From where do the government owned businesses draw their capital and operational funds
3. Give a critical analysis of the performance of parastatals in Kenya
4. Explain the term 'privatization' and argue for and against privatization
5. Discuss the role of the government as a promoter and protector of business

Further readings

1. Kibera F.N.(1996). Introduction to business Kenyan perspective. Nairobi Kenya literature bureau.
2. Rukunga, (1999).
3. Gichira R.N.(2000). Commerce for Kenya. Nairobi. Macmillan.
4. Rwabutoga,.G.R. and Spencer((1986). A text book of commerce. Nairobi. Heinemann
5. Bitte, L.R.et al (1984). Introduction to business: Business in action 4th ED., London, Letts Educational Ltd.
6. Danks, S.(1996), Business studies 3rd Ed. London, Letts Educational Ltd.
7. Rukunga (1999). Excelling in Business, Nairobi. Focus
8. Capenter G.C (1987). The business success formula. Heinmann.

LECTURE NINE

STOCK EXCHANGE MARKET

1.19 INTRODUCTION

In this lecture you will learn about stock exchange market and the terms commonly used in this market.

Lecture objectives

1. Give the meaning of stock exchange market
2. Explain terms commonly used in the stock exchange market
3. Identify the various types of securities sold in the stock exchange market

1.7.1 Overview of stock exchange market

This is a market where already issued shares and stocks are bought and sold ie it's a market where shares and stocks are traded.

1.7.2 Terms Used in Connection With Various Securities and stock exchange market ❖

House –it is a term that refers to the stock exchange market itself.

- ❖ Security- is the general term used to refer to all shares and stocks traded in the stock exchange market.
- ❖ Share – is a unit of capital for a company. Shares include ordinary shares and preference shares.
- ❖ Stocks - It refers to securities other than shares that are dealt with at the stock exchange market. It includes those loans borrowed from individual members of the public and firms in form of **bonds** and company **debentures**.
- ❖ Dividend- It is the return on investing in a share. It is paid out of the profits of the company.
- ❖ Par /nominal value of shares- This is the face value of a share. It is the value written on the share certificate.
- ❖ Market value of share- This is the price or value at which shares are actually traded in the stock exchange market. Shares don't always sell at their par value because their value increases with the increase in the profits of the company.
- ❖ Bearer securities- securities that can be transferred by mere delivery without a transfer form being registered by the assigning company.

- ❖ Blue chip stocks - these are shares of high reputable companies which are known of sound financial history.
- ❖ Bonds- these are securities sold by government or companies and earn a fixed rate of interest.
- ❖ Gilt – edged securities- these are securities considered as absolute secure in terms of interest payment and capital refund. They are normally the government securities.
- ❖ Portfolio- It is a collection of various securities held by one investor or institution. A person who makes his living by investing his money in various securities would invest in a number of different companies to maximize his return and minimize his risk ie he would choose a good portfolio.
- ❖ Bonus shares- These are shares issued freely by a company to its existing members out of its accumulated reserves.
- ❖ Capitalization of reserves- It is the process of issuing bonus shares; it is so called because the aim of issuing bonus shares is to convert company's reserves into permanent capital. ❖ Script issue-This is the bonus issue or issue of bonus shares.
- ❖ Rights issue of shares- this is a new issue of shares. The existing members of the company are given a right to buy new issue of shares at a lower price than the non members.
- ❖ Speculators –These are the dealers in the stock exchange market who anticipate of changes in the prices of shares in the hope that they will make a gain out of the changes.
- ❖ To go public- This is the act of converting a private ltd company into a public ltd company thereby enabling it to quote its shares in the stock exchange market.
- ❖ Institutional investor- this is an institution whose business is to invest its funds in various types of shares. Most insurance companies invest their large amount of funds in various securities and therefore are described as institutional investors.
- ❖ Cum div vs ex div- These are terms used in relation to dividend payment. **Cum div** stands for with dividend and it means that shares have been sold along with the right for the new shareholder to receive the dividends declared. **Ex div** stands for without dividends and it means that the seller of the shares retains the right to receive dividends already declared.
- ❖ Cum right or ex right- These are terms used in relation to new right issues of shares. **Cum right** means that the new buyer has a right to buy shares out of the new right issue already declared when the share is being sold. **Ex right** means that the seller retains the right to buy shares out of the new right issue.
- ❖ Cum cap (cum capital) and ex cap (cum capital) - these are terms used in relation to bonus issue of shares. Cum cap means that the buyer has the right to enjoy the free bonus shares

DARREN GREGORY THE 9TH DELEGATE

already declared and ex cap means that the seller retains the right to enjoy the free bonus shares already declared.

- ❖ Quoted companies-These are companies whose shares are bought and sold at the stock exchange market. For a company to be quoted it must apply and be approved by the stock exchange council.
- ❖ Underwriters- this is a person or a company that guarantees another company offering new issue of shares that all its shares will be sold. If the shares are not bought the underwriter will undertake to buy them.
- ❖ Daily list –this is a list issued officially by the stock exchange market showing the quotation for all the stocks and other securities traded in the stock exchange.
- ❖ Transfer form or deed- it is a form used to transfer shares from one person to another.
- ❖ Stock splitting- it is the process of dividing shares of a company into units of smaller denominations so as to make them more marketable.

1.7.3 Functions of Stock Exchange

1. It provides a ready market for shares i.e. it enables free transfer of shares from one person to another
2. It sets a price for every share keeping both the investor and the companies informed.
3. It enables firms to obtain capital to finance their business activities.
4. It protects the public against fraud by ensuring that quoted companies publish their accounts and disciplinary rules of the stock exchange are adhered to.
5. It enables companies to make new issues of shares when they wish to raise more capital
6. It enables the members of the public to invest their money in joint stock companies leading to the general development of the country.
7. It helps to keep an eye on the financial affairs of the quoted companies ensuring that the money invested by the members of the public is safe.
8. It provides a ground/forum for measuring a country's economic progress in that the price and volume of shares traded each week are used as a measure of a country's economic development.

1.7.4 Members/ dealers in the stock exchange market

The traders in the stock exchange market are the stock brokers and stock jobbers

Stock brokers- They are the agents who act between the investing public and the stock exchange market. Any member of the public who wish to buy or sell shares must approach a stock broker. The broker offers advice on the type of shares one can buy. He earns a commission on the deals he arranges. He acts in the best interests of his clients and use his knowledge and experience to that end.

Stock jobbers-These are the actual dealers in the stock exchange market. They buy and sell shares in their own names and a broker must buy and sell shares through a jobber ie jobbers transact business only with brokers who act on the behalf of the investor. The jobber can be equated to wholesalers in that they trade in shares in much the same way as wholesalers deal with merchandise. The stock jobbers earns a jobbers turn which is the difference between the price they buy securities and the price they sell the securities. The broker act in between the investor and the jobber and by so doing he protects the interest of the member of the public who stand to be exploited by the jobber.

There are three terms that are used to describe the activities of the jobbers as follows.

1. Bulls- this is a stock jobber who buy shares when they are cheap in the expectation that the price of these shares will soon rise and he will be able to sell them at a profit.
2. Bears- this is a stock jobber who sell shares when the prices are high in the expectation that the prices will fall in the near future and he will be able to buy them back at a low price.
3. Stags – this is a stock jobber who deals in companies' new issue of shares. He buys newly issued shares in the expectation that their value will soon rise and he will be able to sell them at a profit.

NB/ a stock jobber is therefore a speculator

Review questions

1. Explain the functions of Nairobi stock exchange market
2. Distinguish between stock market and bond market
3. Describe the activities of stock jobbers in the stock exchange market

Further readings

1. Gichira R.N.(2000). Commerce for Kenya. Nairobi. Macmillan Kenya limited

LECTURE TEN

BUSINESS ENVIRONMENT

DARREN GREGORY THE 9TH DELEGATE

1.20 Introduction

In this lecture you will learn about the effects of internal and external environment on the business and how they affect the decisions of a manager. **Lecture objectives**

4. Define the term environment in relation to business
5. Discuss the micro and macro environmental factors

1.8.1 Overview of business environment

Businesses do not operate in a vacuum but are affected in some way by the environment in which they operate. Successful businesses must recognize that the environment is constantly presenting new opportunities and threats and therefore must continuously monitor and adapt to the environment. Managers should therefore pay close attention to the environmental factors and make timely adjustments to their day to day decisions.

Business environment refers to those factors and events that influence the operations of a business and affects the way managers make decisions.

There are two types of business environment

- 1 Internal environment
- 2 External environments

1.8.2 Internal environment

This is the environment inside the organization which affects its operations. It consists of those factors that affect the operation of a business and they can be controlled fully by the business manager. These factors include:

1. Objectives of the business
2. Management policies and styles.
3. Human resources
4. Physical resources
5. Financial resources
6. Marketing resources
7. Business structure

8. Technological resources

9. Organization culture

Objectives of business

These are targets set by the manager of business to be attained/ achieved. For a business enterprise to satisfy the various groups of people it is involved with, it must have clear objectives which it strives to achieve. Such objectives should also be supported by strategies/action plans which an organization intends to follow so as to achieve its goals. If the objectives are clearly stated then the strategies for achieving them will also be clear. Lack of clear objectives may lead to the failure of the business.

Management policies and styles

Policies-refers to the established way or methods of doing things in an organization. Management styles-refers to how managers run their organizations. Management policies and styles will affect the operations of a business e.g. If the management adopts a policy that denies workers the right to join trade unions, it may create tension among workers which will interfere with their performance. On the other hand if the management style adopted is one which allows workers to give their views on how things should be done, it will help to improve worker's performance. In addition if the management style is one where the manager makes all the decisions irrespective of what the workers feel, then the urge to work and produce more may be reduced.

Human resources

This refers to employees working in an organization. Employees should have the necessary knowledge and skills to be able to carry out the assigned tasks successfully. If the right people with the right knowledge and skills are not employed, then the business may not achieve its goals. (The core values, beliefs and practices held by the management and the employees determine how the organization responds to challenges.)

Physical resources

This refers to tangible facilities which belong to the business such as building, machinery stock; furniture etc. These facilities are required in sufficient quantities to enable the organization to produce goods and services. If the facilities are not available or are difficult to acquire then the business may not achieve its goals.

DARREN GREGORY THE 9TH DELEGATE

Marketing resources

These include marketing factors such as the nature of sales forces, channels of distribution and existing advertisements, labor relations factors etc. a good marketing network will lead to success of a business.

Financial resources

These are monies available to an organization to be allocated to various activities. For example if a business intends to produce a new product which requires new machinery then the financial capability of the business will have to be considered. Success will therefore depend on the financial resources available to a business and the use to which they are put. Financial ability will determine the effective of an organization e.g. it can employ highly qualified managers, employees & technology.

Business structure

This is a means of establishing authority and responsibility. It is a formal arrangement of functions and relationship of people such that authority and responsibility of each person can be clearly seen in a flow chart. A good business structure will enhance coordination and team work thus enabling the workers to achieve organizational objectives.

Technology

This refers to efficient use of scientific knowledge, tools and equipments in the production process. It makes work easier, quicker and cheaper. Adoption of technology within the organization will lead to improved productivity or better performance.

Organization culture/corporate culture

Corporate culture is a system of shared beliefs, values, assumptions and norms that unite the members of an organization. It reflects common view about- the way things are done around here. Culture is important to organization because as individuals act on shared values and other aspect of organizational culture their behavior can have a significant impact on organization effectiveness.

1.8.3 External business environment

This is an environment outside the organization which affects its operation. No organization is self-sufficient as each organization provides something to the outside environment and in turn depends

on the environment for survival. The external environment is dynamic rather than static. It is changing continuously and rapidly. A change in the external environment may require a business to re-adjust its business strategy (how it's going about its business) in order to cope. The business has no control of the external environment

External environment has two major components.

1) **Microenvironment-** Also referred to as operational environment or immediate environment

2) **Macro environment-** Also referred to as remote environment

Micro environment

This is consisted of the external factors that affect the operation of a business and the manager can influence or can control them.

The micro environmental factors include:

1. Clients- a business organization's customers are critical its success. Managers must constantly be aware of the present needs and emerging needs of clients. This may involve altering present products or services, developing new ones, or even entering into new business.

2 Competitors- Two types of competition

1. Enterprises competition-competition from firms whose products are similar to that of the other firm e.g. banking industry.
2. Generic competition-competition from firms whose products although different from the firms products are used for the same purpose as that of the firm e.g. in entertainment industry –magazines, newspapers, theatre, cultural centers etc

The firm should examine the entry and exit of major competitors taking into consideration the competitors strategies of operations. A business should be in a position to gauge the strength and weaknesses of its competitors by gathering information such as the products they offer, how they distribute their products, prices they charge etc. By so doing the business can improve its competitive edge against the competitors. The business should be aware of generic competition. Pressure of competition may lead to development of new and better products, new methods of sales promotion.

DARREN GREGORY THE 9TH DELEGATE

3. **Suppliers** -These are people who supply the business with inputs such as raw materials, services, energy, funds, equipments etc. suppliers have an impact on a business and therefore good relationship with them is critical. Suppliers can enable the business to have an advantage over competing businesses eg they can offer discounts, credit terms, delivering on time
4. **National pressure groups** such as consumer association and trade unions are an external environment that the business should take care of.

Macro environment

It's also referred to as **remote environment**. It is consisted of those external factors or forces that are beyond the control of the business. These factors include

- Political and legal environment
- Economic environment
- Social cultural factors
- Technological environment
- Demographic environment
- Physical/ecological environment

Political and legal factors

This has to do with laws and policies passed by the government (both central and local governments) to regulate business activities. The business should consider what the government laws are before making a decision because going against the laws may lead to penalties e.g. laws on disposal of waste products, laws on labor and industrial relations, safe products, formation and location of business, advertisements, and tax policies.

On the other hand laws/policies may present an opportunity to the business e.g. government policy of subsidization or exemption from taxes by meeting certain government requirement is likely to favor a business. Political stability also creates a conducive environment for business to thrive.

Economic environment

Economic forces are changes in the economy reflected by such indicators as level of incomes, bank rates (borrowing rates), unemployment rates, tax rates for firms and individuals, price levels etc. These entire factors influence consumer's purchasing power which in turn affects the business profit and growth.

Social culture factors

These are factors that are based on the beliefs, values, attitudes, opinions and lifestyles of people. Changes in these factors affect consumers buying patterns e.g. Muslims do not eat pork and so a pork selling business cannot thrive in a Muslims community. Businesses should therefore assess people's social/cultural nature so as to know what business opportunity exist. Also how people worship will affect the business e.g. Muslim prayer life will affect time of work, cultural or religious dressing may also affect the code of addressing in an organization.

Technology environment

Changes in technology can impact on organizations either positively or negatively e.g. it can enable a business to come up with better products or services. On the other hand it may increase the costs of productions; lead to downsizing of the labor force thus putting the management into logger heads with trade unions .Management should thus keep abreast of the latest development in technology so as to have a competitive edge against other competitors.

Demographic environment

This refers to population change in terms of age, gender, birthrates, literacy level etc. Knowledge about these factors will create business opportunities e.g. a large population increase demand for goods and services, age and sex distribution shape the line of business, literacy improves people's tastes and demand for quality goods and services.

Ecological /Physical environment.

This includes such factors as topography or relief, climate and infrastructure (roads, water supply, electricity, telephone, security banks and insurance. These physical factors also may favor or disfavor a firm in the pursuit of its objectives. The physical environment will also include location of the firm e.g. suitability of the location, possibility of moving into other locations if necessary etc

Review Questions

- a. Organizations are always interacting with the environment in their pursuit of organizational objectives. Discuss the role of management in ensuring effective manipulation of the environment for the achievement of the objectives
- b. Discuss the characteristics of business environment

DARREN GREGORY THE 9TH DELEGATE

- c. Discuss how the business environment affects the operation of the following businesses i.

Transport industry

- ii. Education industry eg universities
- iii. The dairy industry iv. Manufacturing industries
- v. Banking industry
- vi. Communication industry

- d. Discuss the micro environmental factors and how they should be managed
- e. Explain ways in which social cultural environment may negatively influence the operations of a business.

Further readings

1. Kibera F.N.(1996). Introduction to business Kenyan perspective. Nairobi Kenya literature bureau.
2. Bruce R.J. (1996). An integrated approach to business studies.songapore.Longman.
3. Mark, A. (19870). Business studies, Edinburg. W & R chambers
4. Sooks, H.L.and Williams, J.C. (2005). Management and organizations
5. Eyre, E.C. (1994). Mastering basic management
6. Bruce R.J. (1996). An integrated approach to business studies.songapore.Longman.

LECTURE ELEVEN

FUNCTIONS OF MANAGEMENT

(PLANNING FUNCTION)

1.21 Introduction

In this lecture you will learn about planning as a function of management and the activities involved in it.

Lecture objectives

1. Define the term management
2. Define planning
3. Outline the activities involved in carrying out planning function

4. Identify types of plans
5. Describe the importance and limitations of planning

1.9.1 Overview of management

Management is the process undertaken by one or more individuals to coordinate the activities of others to achieve results not achievable by one individual acting alone. It is the accomplishment of results through the efforts of other people. It is the act of getting things done through people and with informally organized group.

There are 5 basic functions that should be carried by a business manager.

1. Planning
2. Organizing
3. Staffing
4. Directing
5. Controlling

1.9.2 Planning Function

It is the process of determining what is to be done how it will be done, who will do it and when it will be done. Planning today helps to avoid crisis tomorrow; it has to be undertaken much in advance so that unforeseen problems and events may be properly handled. In lay-man's language planning is said to be a trap laid to capture the future. It is concerned with meeting tomorrow today.

1.9.2.1 Activities involved in planning

- a) Setting objectives to determine what achievements are to be made.
- b) Decide on how and when to implement the plans in order to achieve the stated objectives.
- c) Decide on the programs, action plans, strategies, policies and standards which will facilitate the achievement of objectives
- d) Estimating the resources that will be needed
- e) Considering the problems that will arise and deciding how these problems can be solved
- f) Evaluating the proposed action plans
- g) Revising and adjusting the plans in the light of changing conditions.

1.9.2. 2 Characteristics of sound plans

- 1) It should be based on clearly defined objectives
- 2) It must be simple and easily understandable

DARREN GREGORY THE 9TH DELEGATE

- 3) It should be flexible or adaptable to changing conditions
- 4) It should be reasonably comprehensive
- 5) It should provide standards for the evaluation of performance and actions
- 6) It should be economical ie permit optimum use of available resources 7) It should be realistic, feasible and unambiguous.
- 8) It should be prepared in consultation with all stakeholders that will be affected by the plan

1.9.2.3 Types of plans

a. Long term plans

They are plans that cover a long period of time usually for more than five years. They are mainly concerned with broad objectives which a business or department hopes to achieve.

They are usually prepared by senior management of the business.

b. Short term plans

They are plans that cover short periods. They are operational in nature since they outline specific activities necessary to achieve the long term objectives. They are normally prepared by departmental managers and senior supervisors.

c. Strategic plans

They are plans that are concerned with the future of the business in relation to the effects of the external environment ie the PESTLE factors ie political legal factors, economic factors, social cultural factors, technological factors, ecological factors etc. They are primarily the responsibility of the top management of the organization.

d. Tactical/operational plans

These are plans at departmental level that deal with specific steps on how strategic plans should be achieved. They are prepared in much more details and are usually the responsibility of middle level managers who consult with other line managers before making commitment to top management.

1.9.2.4 Reasons/importance for planning.

As it is commonly cited 'failure to plan is planning to fail'. The following are some of the reasons why planning is important:

- 1) To coordinate efforts of the employees- the plans prompts the manager to coordinate the efforts of the employees to carry out the plans.
- 2) It guides decision making – it helps to guide decision making within certain boundaries to achieve objectives.

- 3) For effective utilization of resources- the methods, inputs cost and skills in planning for various activities are determined and this leads to more effective utilization of resources.
- 4) To promote corporate image- organizations need to plan ahead when they want to make themselves better understood and known by the public.
- 5) To face competition- as the economy of a country grows, more firms will enter the market offering similar products. This will out of necessity require a business to continually plan for its marketing strategy in order to survive competition.
- 6) To project profitability- since profits are the basis of all company operations, they have to be estimated in advance by making plans.
- 7) Provides a sense of direction-planning saves an organization from drifting and avoids aimless activities by directing human efforts into actions that contributes towards accomplishments of goals.
- 8) Reduces uncertainty and risks- it enables organizations to predict future events and changes and make due provisions for them.

1.9.2.5 Limitations of planning

- a. Planning is based on forecasts which are never 100% accurate. Thus if reliable forecasts and data are not available then planning becomes unrealistic.
- b. Planning is a time consuming and expensive process. Time, effort and money are required in the collection and analysis of data and in the formulation and revision of plans.
- c. Plans are sometimes rigid and inflexible and this may discourage individual initiative and freedom e.g. managers are tied to comply with budget limits even when there is dire need to spend more,
- d. Sometimes planning may cause delay in decision making ie a manager may be tied down by rules and procedures when there is need for quick decisions.
- e. Plans may create a false notion that all is well when plans are in place while in reality management has to continuously revise the plans and regularly check on their execution.
- f. Powerful people and other vested interests may exert pressure to ensure that the plans serve their own interests.
- g. The effectiveness of planning may be affected by external forces which are beyond the control of those responsible for preparing plans e.g. government controls, economic, technological and other external factors may impede implementation of plans.

Review questions

1. What is management?

DARREN GREGORY THE 9TH DELEGATE

2. Define planning giving its importance
3. Describe the managers tasks in planning
4. Describe types of operational plans giving relevant examples
5. As a manager of a dairy enterprise discuss the types of plans you would put in place

Further readings

1. Kibera, F.N.(1996). Introduction to business Kenyan perspective. Nairobi Kenya literature bureau.
2. Sooks, H.L.and Williams, J.C. (2005). Management and organizations
3. Bruce R.J. (1996). An integrated approach to business studies.singapore.Longman.
4. Saleemi N.A.(1986) Principles and practice of management. Nairobi. Saleemi publishers

LECTURE TWELVE

ORGANISING FUNCTION

1.22 Introduction

In this lecture you will learn about organizing as a function of management and the activities involved in it.

Lecture objectives

1. Define the term organizing
2. Outline the activities involved in carrying out organizing function
3. Describe the process of planning
4. Discuss types of structures

1.10.1 Overview of organizing

It is concerned with giving specific tasks and positions to employees, establishing departments, delegating authority and generally establishing organizational structures. The purpose of the organizing function is to achieve co-ordinated efforts through the design of structure, tasks and authority relationships. In actual fact the process of organizing culminates in an organizational structure.

1.10.2 Activities involved in organizing

1. Identify and define the work to be done
2. Breakdown the work into duties
3. Group the duties into positions
4. Define position requirements
5. Group the positions into manageable related units ie departments
6. Assign accountability and extent of authority.

1.10.3 Principles of organizing

- a. Every employee should be answerable to only one supervisor. An employee is likely to be frustrated and confused when he/ she receives instructions from different supervisors.
- b. Authority to the employee should commensurate with their responsibility. A worker cannot carry out his duty efficiently if he does not possess sufficient authority for the execution of the work
- c. The span of control for each officer should be appropriate to the circumstances. The span of control refers to the number of subordinates answerable to an officer. Such span of control can be determined by factors such as education, experience, nature of work etc.
- d. Best use should be made of specialization
- e. The number of the levels of management should be reduced to a minimum to make both the upward and the downward coordination easier.
- f. Best use should be made of available resources including not only manpower but also machines and equipments
- g. Organization should be flexible and capable of adapting to changes in circumstances.

1.10.4 Process of organization

The process of organizing involves a series of steps which must be undertaken to create a logical structure of authority- responsibility relationships. These steps are as follows

a) Determination and division of work

This is determining the tasks required for the accomplishment of established objectives. The tasks are then divided into activities such as financing, marketing, purchasing, personnel e.t.c.

DARREN GREGORY THE 9TH DELEGATE

b) Grouping activities

The various activities identified above are then classified into appropriate departments and divisions according to their similarities.

c) Assignment of duties

The individual departments are then allocated to different positions and individuals (who are responsible for the specific job assigned to them) according to their area of specialization or abilities. Clear definition of the responsibility of each is necessary to avoid duplication of work and overlapping of efforts.

d) Definition of authority

Once the duties and responsibilities of every individual have been fixed, the individual must be given the authority necessary to carry out the duties assigned. A chain of command is created from top to bottom through successive delegations of authority.

NB: The process of organizing results in formation of departments and organizational structure.

1.10.5 Organizational structures A

structure is:

- A pattern of relationships among positions in the organization and among members of the organization. It defines tasks & responsibilities work roles & relationship & channels of communication.
- It is a formal pattern of relationships among positions in the organization designed by management to link the tasks of individuals and groups in achieving organizational goals. It shows the number of levels in the hierarchy and the span of control of managers and supervisors.
- It is a channel of authority and communication showing/describing formal working relationship among people.
- It identifies the grouping together of individuals into departments and of departments into the total organization.

Types of organizational structures

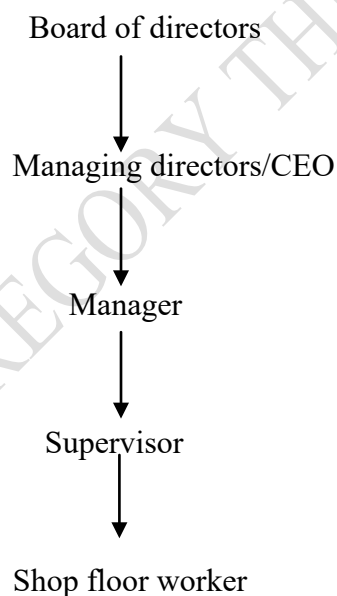
There are different organizational structures that can be adopted by business units. They include:

- a. The line or military organizational structure
- b. Line and staff organizational structure

- c. Functional organizational structure
- d. Matrix organizational structure

Line/Military organizational structure

It is a type of structure where authority is vested upon the superior only. The superior issues orders & instructions which must be complied with by the subordinates. Every person in the organization is supposed to be accountable to only one person who delegates authority & assigns duty to him. A line structure can be presented as below:



Advantages of military structure

- It is simple to establish & can easily be understood.
- It ensures better discipline in an organization because everyone knows to whom he/she is responsible.
- There is a clear cut identification of authority & responsibility relationship. □ It facilitates unity of command ie orders come from a single person

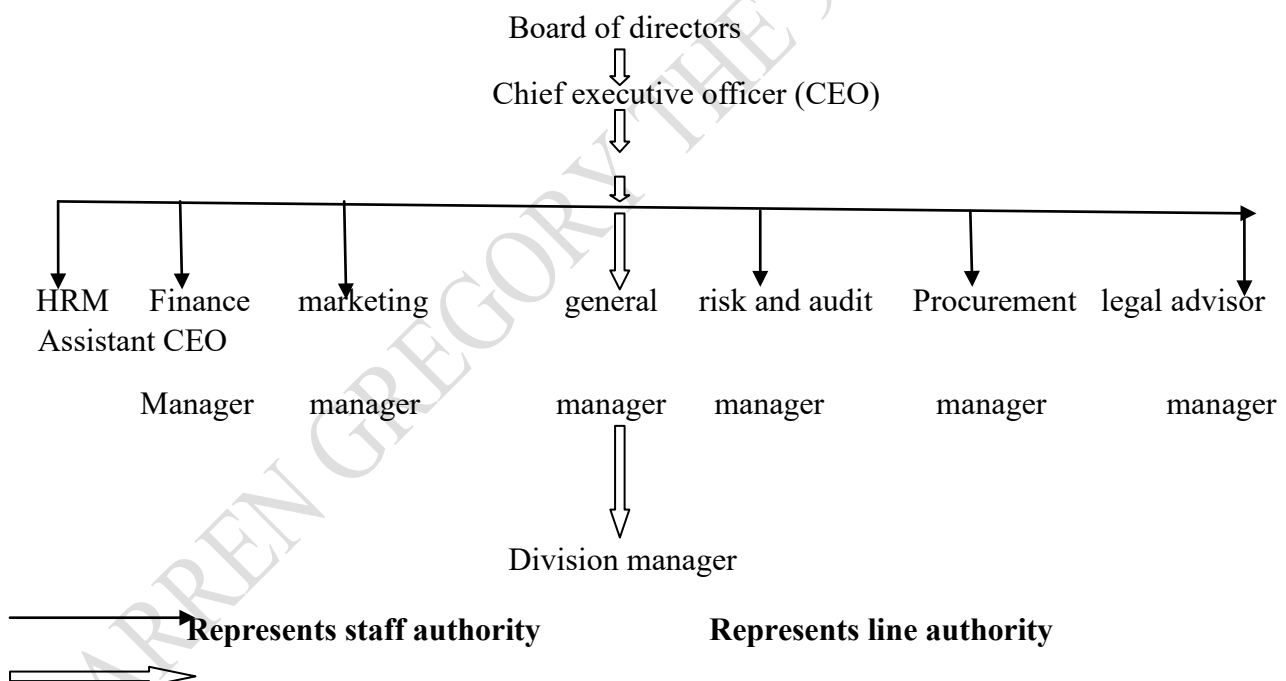
DARREN GREGORY THE 9TH DELEGATE

Disadvantages of military structure

- There is concentration of authority at the top level which may over burden the top executive resulting into inefficiency.
- Practically there is no communication from bottom-up which may demotivate the workers.
- It is always suitable to small organizations as compared to large ones.

Line and staff organizational structure

This is an organizational structure in which there are two authorities, one with line authority and the other with staff authority. The person with line authority has a right to plan & make various decisions in the organization & carry out general administration of the organization. The person with the staff authority is a specialist in his area and has the right to give advice to the line authority. A line and staff structure appears as below:



Advantages of line and staff structure

- The line manager enjoys the benefits of specialized knowledge of the staff specialists.
- Many issues that are poorly handled by the line manager can easily be identified by the specialists.

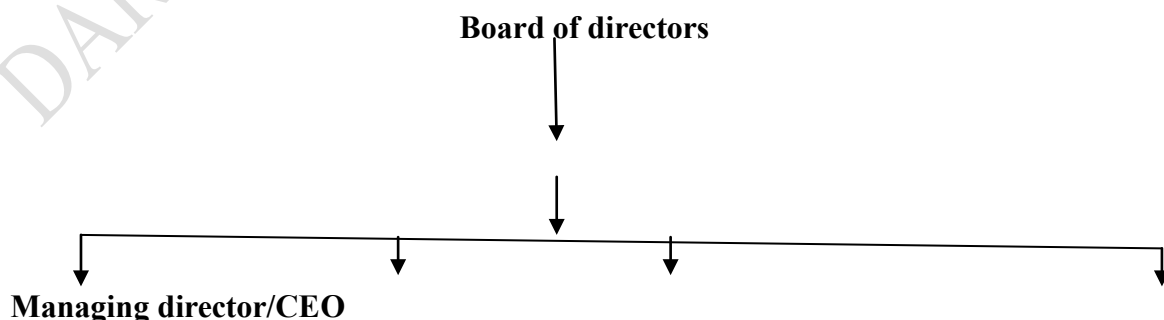
- The staff specialist relieves the manager the bother of handling specialist functions of the organization.
- The staff specialist helps the executive in making better decisions by providing them with adequate information at the right time.

Disadvantages of line and staff organizational structures

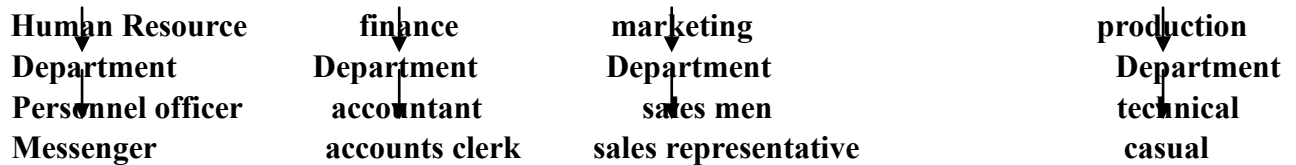
- Line and staff organization structure often leads to suspicion and conflict between the two types of authority. eg
- The staff manager may try to surpass the chain of command since he may equate himself with the line manager.
- The staff manager may not give right and adequate advice to the line manager portraying the line manager as inefficient.
- The staff manager takes advantage of the ignorance of the line manager to steal credit in the event of work performed well.
- The staff manager may feel that inadequate authority is delegated to him.
- The line manager may underutilize the specialized knowledge of the staff manager.
- The line manager may not recognize the advice given by the staff manager.

Functional organizational structure

It's a type of organizational structure in which positions are grouped according to the main function or specialized areas. It is the most common form of organizational structure in which employees are put together according to similarities in tasks & skills to form departments. e.g. sales people are allocated in marketing department, accounting people in finance department. This means that the duties are grouped according to department e.g. finance department, procurement, personnel department. The success of one department depends upon the success of the other. A functional structure is as below:



DARREN GREGORY THE 9TH DELEGATE



Advantages of Functional organizational structure

- It boosts efficiency through specialization because employee can concentrate on fostering specialties within a single function. This helps in achieving organizational objectives.
- The functional managers have expertise in functional areas which make them more efficient.
- The structure makes it easy to make future executives.
- It reduces the burden of the top executive.
- Skill development and training is possible due to similarities of skills & knowledge.
- It leads to clear career path within particular functions giving employees encouragement to develop their expertise..
- It eliminates costly duplication of work.
- It leads to efficient use of resources because it is fairly easy to shift individuals from one project to another as needed when they work in the same department.
- Economies of scale are possible because large amounts of work can be handled efficiently when individuals specialize.
- It facilitates ease of coordination within departments since the activities are related in one way or another.
- It increases the potential for developing specialized technical

Disadvantages of Functional organizational structure

- Workers may become less innovative because they focus mainly on departmental goals rather than overall organizational goals.
- It may be more difficult to coordinate the activities of different departments which are all interdependent.
- Provides a fairly narrow training ground for managers because they tend to move up within one function and hence have only limited knowledge of other functions.
- It may be difficult to measure the performance of a particular department because various functions have a hand in the organizational performance
- The functional managers tend to create boundaries among themselves thinking only in terms of their department and not the organization as a whole.

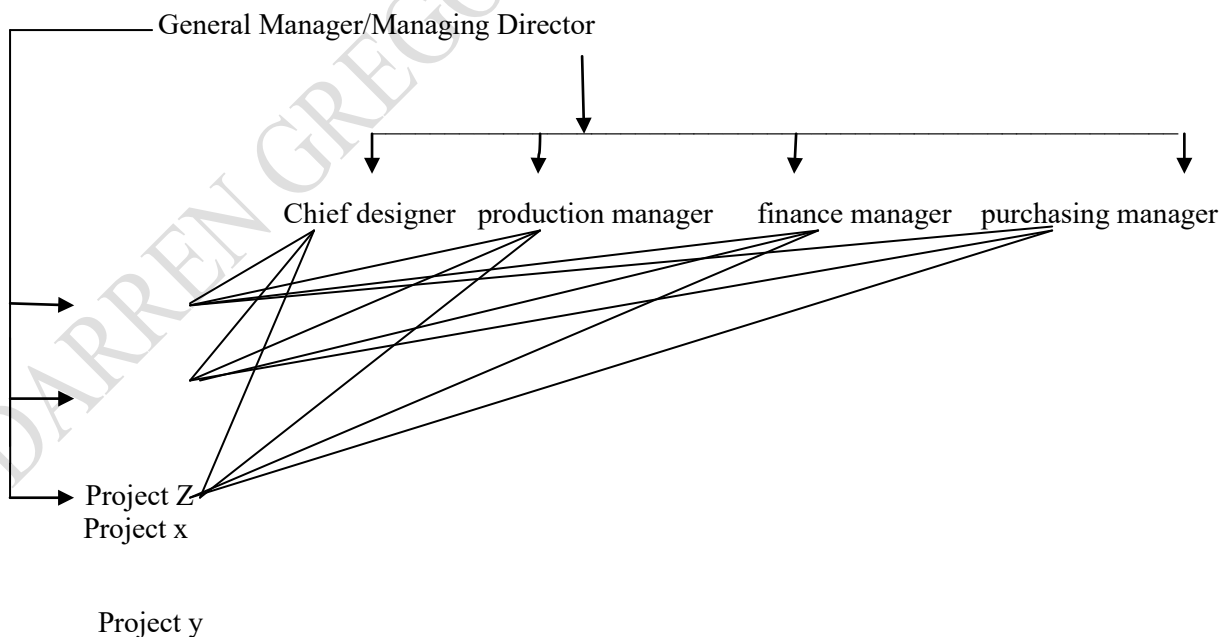
- There is lack of coordination among functional managers and this leads to delays in decision making.
- Functional organization at times violates the unity of command since the workers are accountable to a large number of supervisors.

Matrix organizational structure

This kind of structure is adopted by organizations that operate other projects alongside their core business. It combines the authority of functional managers & project managers in that the projects draw their human and non-human resources from various functional departments in the main organization with a project manager coordinating the activities of the project. Employees deployed to the project are accountable to both the functional manager in the main office & the project manager.

Matrix structure is common where the following conditions exist

- The work to be performed has a definite starting date and a definite completion date
- Costs constraints are a critical factor
- The large number of specialized skills on the project requires coordination for the completion of the project
- The activity to be performed is in some way new or unfamiliar to participants. A typical matrix structures looks like below



DARREN GREGORY THE 9TH DELEGATE

Advantages of matrix design

- It motivates the workers who are appointed at the project level.
- It adds diversity & flexibility to work.
- Subordinates/workers are able to gain varied experience.
- It leads to optimum use of resources as organizations resources are shared between the functional department in the main company and the project.

Disadvantages of matrix design

- It violates the principle of unity of command since orders and instructions have to be given by different managers.
- The project may be too expensive to the organization because they require a lot of financial & human support.
- The structures require highly competent staff which can work with little supervision.
- It is complex to understand.
- There is duplication of work because some of the roles performed in departments are also carried out at the project level resulting in wastage.
- It demotivates the workers when the project comes to an end.
- Conflicts may arise over division of responsibility between project managers and functional managers.

Essential requirements of a good original structure

- ❖ It must be organized for the business performance e.g. the more direct & simple the structure the more efficient it is.
- ❖ It should contain the least possible number of management levels i.e. the chain of command should be as short as possible. Long chains of command disrupt mutual understanding, increase stress and make it difficult to develop future managers.
- ❖ It should make it possible the training of future top managers by giving employee autonomy to carry out managerial responsibilities.
- ❖ It should enable decentralization of authority where power & authority is shifted from top to bottom levels.

Importance of a good structure

- ❖ It encourages productivity/ performance & economic efficiency.

- ❖ It affects morale & job satisfaction of the workforce.
- ❖ It encourages willingly participation of members of an organization.
- ❖ It enables allocation of responsibilities.
- ❖ It facilitates decision making.
- ❖ It enables coordination & control.

1.10.6 Organizational charts

An organization chart is a diagram in a mere piece of paper that shows the organizational structure of a company. An organizational structure is therefore reflected in an organizational chart. The purpose of an organizational chart is to show all concerned as to what is the organization structure, how the company has been divided into departments and departments into sections and most importantly what responsibility and duties are assigned to each officer.

Purpose of organization chart

- a. It defines the spheres of authority for the supervising staff
- b. It shows the various departments, departmental sections and their relationship to one another
- c. It shows the chain of command and delegation of authority
- d. It portrays the span of control i.e the number of people who are under one supervisor or manager
- e. It is useful when explaining to new members of staff, the type of organization they are to work in and their part in it

Advantages of organization chart

- a. By reflecting the coordination among the various department it improves the efficiency of the organization
- b. It indicates the lines of communication both upwards and downwards
- c. It shows the line of command
- d. It makes clear the responsibility for work at different levels

Disadvantages of organization charts

- a. It shows who is responsible for making certain decisions which may cause delays in actions if the said authority is absent. The delays can result in great losses to the organization
- b. The chart indicates that the responsibilities of different levels have been divided on permanent basis. It becomes difficult to incorporate new changes

DARREN GREGORY THE 9TH DELEGATE

- c. The rivalry among different departments may be harmful to the organization

1.10.7 Departmentation

It is an element of organizing function. It is a means of dividing large and complex organizations into small and flexible administrative units. It involves grouping of activities and employees into departments in order to accomplish business goals.

Reasons/ Importance of departmentation

1. Specialization- It enables a business to take advantage of specialization and division of labour in which every department performs one major function of a business.
2. Expansion of the organization- grouping of activities and personnel in a department makes it possible to expand an organization to an indefinite degree.
3. Autonomy –Departmentation results into division of the enterprise into semi- autonomous units where every head of department is given adequate freedom. The feeling of autonomy provides job satisfaction and motivation which in turn leads to efficiency.
4. Individual are held responsible for performance- It enables each person to know their specific roles and the responsibility for results. Therefore roles are well defined with each individual being held accountable for performance.
5. Basis for appraisal- Appraisal for managerial performance becomes easier when specific tasks are assigned to departmental personnel.
6. Management development-It gives an opportunity to train and develop executives by giving departmental heads an opportunity to take independent decisions and exercise initiative.
7. Facilitates administrative control- Grouping of activities and personnel into manageable units facilitates administration of the whole organization.

Basis/types of departmentation a. Functional departmentation

Each major functional area of an organization is organized as a separate department.eg production department, sales department, finance department, HRM department, sales department, IT department, research and development department etc

b. Product departmentation

Every major product is organized as a separate department. In this case each product department looks after the production, financing and marketing of the product. It's common in big companies with diversified product lines.

c. Geographical or territory departmentation

It occurs where there are many branches of the same organization spread all over a region, country, and town or even abroad. It's common in large scale business organizations whose activities are geographically spread.

d. Customer departmentation

Activities are grouped according to the type of customer and each department specializes in serving a particular class of customer. It is common in the banking sector.

e. Departmentation by Process or equipments

Activities are grouped on the basis of production processes or equipments used. eg in a textile manufacturing factory there may be ginning department, spinning department, weaving department. Dying department etc

f. Time departmentation

Activities are grouped on the basis of when they are performed. Eg for an industry operating 24 hours, the day and night shifts are treated as separate departments

Review questions

1. Define the term planning
2. Describe what managers do when carrying the organizing function as part of their job
3. Explain the matrix type of organizational structure showing its merits and demerits
4. Distinguish between an organizational structure and a chart

Further readings

1. Kibera, F.N.(1996). Introduction to business Kenyan perspective. Nairobi Kenya literature bureau.
2. Sooks, H.L.and Williams, J.C. (2005). Management and organizations
3. Eyre, E.C. (1994). Mastering basic management
4. Bruce R.J. (1996). An integrated approach to business studies.songapore.Longman.
5. Saleemi N.A.(1986) Principles and practice of management.Nairobi. Saleemi publishers

LECTURE THIRTEEN

FUNCTIONS OF MANAGEMENT

(STAFFING, LEADING AND CONTROLLING FUNCTION)

1.23 INTRODUCTION

In this lecture you will learn about staffing, leading and controlling functions of management.

Lecture objectives

5. Define the terms staffing, leading and controlling
6. Outline the activities involved in carrying out staffing, leading and controlling functions.

1.11.1 Staffing function

This is that part of management function which is concerned with the management of the organization's most valued assets ie people working there and who individually and collectively contribute to the achievement of the company's objectives. In staffing the manager chooses the right people for the available vacancies in terms of skills, knowledge and attitudes.

1.11.1.1 Functions Activities/ Practices of Human resource Management

The following are some of the activities involved in Human resource management:

1. Recruitment and selection
2. Training and development
3. Performance appraisals
4. Reward management
5. Employee relation/ industrial relations
6. Health and safety of workers
7. Motivation of workers

1. Recruitment

It is the process of identifying prospective employees and encouraging them to apply for a given job.

It is the first part of the process of filling a vacancy and it involves

1. Examination of the vacancy
2. Sources of suitable candidates
3. Making contacts with those candidates
4. Attracting applications to those positions.

2. Selection

This is the process of placing individual whose knowledge, skills and abilities match the needs of the organization. It comes after recruitment and is usually through interviews.

3. Training and development

Training is planned and systematic processes of changing people behavior through organized learning programs to enable an individual acquire skills required to do his/her work effectively. It is normally meant for non-managers. Development involves improvement of a person's ability and profession in the work place through the provision of learning and education experiences. It is normally meant for managers.

4. Performance appraisal

This is a final assessment and rating of individuals by the manager usually on an annual review meeting. It is simply the process of evaluating the performance of an employee. It is used as a basis for making training and pay decisions.

5. Reward management

It is concerned with formulation and implementation of policies aimed at rewarding people fairly and equitably in accordance to the value they bring to the organization and thus help the organization to achieve its strategic goal

6. Employee relations industrial relations

Employee relations consist of all those areas of human resource management that involve relationship between employer and employees and between employees themselves and also include issues related to agreement of terms and conditions of employment. Industrial relations are concerned with the dealings between management and trade unions on issues related to industrial disputes.

DARREN GREGORY THE 9TH DELEGATE

7. Motivation of workers

It is concerned with what should be done to achieve and sustain high level of performance through people. This means giving close attention to how individual can be best motivated through such means as incentives and rewards.

Health and safety of workers

This is concerned with protecting employees and other people affected by what the company produces and does against the hazards arising from their employment or links with the company. The safety programmes will deal with the prevention of accidents and minimizing the resulting loss and damage to the workers.

9. Separation of workers

This is concerned with the policies that relate to the exit of the employee from the organization. It will therefore be concerned with resignation, retirement, lay offs and dismissals of employees.

1.11.2 DIRECTING / LEADING FUNCTION

This is the process of influencing people so that they perform assigned tasks willingly and in an efficient and effective manner. It involves getting people together and asking them either through command or motivation to work willingly and effectively for the achievement of the organization goals.

1.11.2.1 Activities involved in directing or leading.

- a) Motivation – employees should be inspired to take desired action and reinforce such action to be repeated willingly.
- b) Communication- Telling / passing information to people so that they are aware of what is expected from them
- c) Coordination- unifying various efforts in the most effective harmony to create team work.
- d) Participation -Giving collective responsibility and encouraging participation
- e) Inducing change- stimulating creativity and innovativeness by encouraging new ideas from employees..

1.11.3 CONTROLLING FUNCTION

This is the process of setting standards and checking to see how actual performance compares with these standards and taking collective actions when there are deviations. It involves regulating organizational activities so that actual performance conforms to expected organizational standards and goals. In the controlling process managers set up control systems; a control system is a set of mechanisms designated to increase the probability of meeting organizational standards. It may be developed to regulate an area that a manager considers important e.g. quality of services and products, profit margins, client satisfaction, timeliness of deliveries, quality procedures etc.

1.11.3.1 Role of controls

Control assists managers in the following ways:

- a) Coping with uncertainties- Uncertainty arises because organizational goals are based on future estimates yet the actual often differs from such forecasts. Environmental factors often bring about changes. Managers should therefore develop control system to monitor specific activities and react swiftly to environment changes.
- b) Detecting irregularities-Control helps managers detect undesirable irregularities such as poor quality, cost overruns or rising personnel turnover. Early detection of such irregularities helps prevent minor problems from mushrooming into major ones.
- c) Identifying opportunities-Controls help highlight situations in which things are going on better than expected thereby alerting management to possible future opportunities.
- d) Handling complex situations-As organizations grow larger controls enhance coordination. They help managers keep track of various major elements to be sure that they are well synchronized
- e) Decentralization of authority- Controls affords a manager an opportunity to appoint people at lower levels to monitor the progress of various organizational activities. He can therefore foster decision making at lower levels in the organization but still maintain a hand on progress of the same.

1.11.3.2 Process/ activities involved in controlling

- a) Establishing performance standards- these are targets against which the actual performance is measure. It can be in terms of reduction in costs, timeliness, increasing profits etc Often standards are incorporated into the goals and help the employee to know what is expected from them at the planning stage.
- b) Monitoring results and measuring actual performance against set standards – for every standard outlined the manager must be able to measure performance attuned. The means of

DARREN GREGORY THE 9TH DELEGATE

measuring performance may include; quantity and quality produced, money collected for service rendered, amount of material used, profits made etc.

- c) Identifying deviations- The actual performance is compared with the set standards and any the deviation is established.
- d) Providing feedback- where performance met or exceeded the standards set, employees should be recognized for positive performance. Where the standards were not met all the stakeholders should be involved in deciding the corrective actions.
- e) Taking collective action-When standards are not met managers must carefully assess the reasons why and take corrective action eg check standards if they were realistic and revise them, find out if the resources to do a job were availed, reallocate duties etc.

Review questions

- 1. Keith is the general manager of visionary enterprises limited. The organization has not been optimizing the resources allocated to them. After a thorough investigation Keith has traced the poor performance to lack of poor control systems. As a consultant explain to the management committee what constitutes a good control system
- 2. Discuss critical areas when a manager is leading employees
- 3. Explain the main activities carried by a staffing officer in any organisation.

Further readings

- 1. Kibera, F.N.(1996). Introduction to business Kenyan perspective. Nairobi Kenya literature bureau.
- 2. Armstrong, M. (2006).A handbook of Human resource management practices (10th ed.). London: Kogan page.
- 3. Desler, G. (2003). Human Resource Management. (9th Ed.).New Jersy: Prentice Hall.
- 4. Sooks, H.L.and Williams, J.C. (2005). Management and organizations
- 5. Eyre, E.C. (1994). Mastering basic management
- 6. Bruce R.J. (1996). An integrated approach to business studies.songapore.Longman.
- 7. Saleemi N.A.(1986) Principles and practice of management.Nairobi. Saleemi publishers

LECTURE FOURTEEN

POWER AND AUTHORITY

1.24 INTRODUCTION

In this lecture you will learn about types and sources of power and authority **Lecture objectives**

1. Distinguish between power and authority, accountability and responsibility, centralization and decentralization of authority
2. Discuss the sources of power and authority
3. Define delegation and its importance in management

1.12.1 Concept of power and authority

Authority- is the right to make decisions, carry out actions and direct others in matters related to the duties and goals of an organization ie it is the right to ask other people to do something. No manager can get things done without authority and it is therefore seen as key to a manager's job and the binding force in an organization.

Power – is the ability of a person to control or influence the behavior of other people with or without their consent ie it is the ability to make other people do something. A manager should possess some degree of power to be able to exercise authority eg A manager may have authority to demand high performance from his subordinates but may lack ability to carry out this right since he/she lacks power to induce or to force them to work. On the other hand an informal leader may lack legitimate or formal authority to demand high performance from co-workers but can possess some power to influence them to produce. A distinction can be made between authority & power as follows:

AUTHORITY	POWER
Authority vested in a position	Power is a personal trait or quality
Authority is associated with managership	Power is associated with leadership
It is a legal right	It is not a legal right

NB Managerial effectiveness increases only when the manager possesses both authority and power.

DARREN GREGORY THE 9TH DELEGATE

1.12.2 Sources of authority

There are three schools of thought regarding the source from which authority originates.

1. Formal authority theory
2. Acceptance theory
3. Competence theory

Formal authority theory

This school of thought believes that all authority originates from the formal structure of an organization ie from the position one occupies in the organization.

Acceptance theory

According to this theory the real source of managerial authority lies in the acceptance of the superior orders by the subordinates. ie authority can be exercised by a superior on his subordinates only when the subordinates accept the decisions of the superior. It is based on the believe that subordinates are free to accept or reject the formal authority of a manager. They will accept orders if they feel that the advantages of acceptance are greater than the disadvantages of non-acceptance. A subordinate will accept the authority of his superior because of the following:

- 1) He can earn the approval of or appreciation of his fellow colleagues and that of management
- 2) To contribute to the attainment of enterprise objectives
- 3) As a response to the leadership qualities of his superior
- 4) He feels obedience is in accordance with conscience or moral standards

Competence theory

According to this theory authority flows from the technical competence of a leader. This means that subordinates accept authority of a manager by virtue of his knowledge, skills and competence.

1.12.3 Sources of power

A manager can derive power from the following sources:

1. Position power/bureaucratic power

This is power derived from the position one holds in an organization. The position gives the person the legitimate right to exercise power over staff who in turn will readily acknowledge this legitimate power.

2. Reward power

It is derived from one's ability to grant or withhold rewards. The staff will do as the manager asks because he/she will reward them in some way. Managers can gain reward power by being in managerial positions that control organizational resources.

3. Coercive power

It is power derived from the ability to force other people to act against their wishes. It is that power vested in the ability of a manager to punish subordinates eg by firing them, withholding or withdrawing promotions and pay raises, keeping them in undesirable jobs etc. It can be used legitimately or illegitimately e.g legitimate coercive power can be used against unproductive, inefficient or disobedient persons. It results in respect for the manager. On the other hand illegitimate coercive power is used unfairly or wrongly. eg when a manager dismisses or reprimands an employee because of personal grudges. It results in unpopularity of the manager.

4. Expert power

It is power derived from having expert knowledge & information that is needed but not held by other people. Managers exercise expert power over their subordinates because they have more job experience and knowledge than their subordinates.

5. Charismatic power

This is power derived from one's special personal qualities such as public speaking ability, interpersonal style or high moral standards. People are attracted to the charismatic persons so strongly that they want to imitate and be like them. For one to be considered a charismatic leader, he/she must have a style that is unusual and pleasing.

6. Association power

It is power derived from association with someone who has power and can thus influence the person with power e.g. Personal secretaries and PA's (Personal assistants) possess association power. Many people use someone close to the power to be able to cut through the complex bureaucratic processes and have access to the source of power.

DARREN GREGORY THE 9TH DELEGATE

1.12.4 Centralization and decentralization of authority

It is the concentration of authority, power and decisions making at one point or in a few hands.eg until recently the government functions in Kenya were centralized at the main city.

Advantages of centralization of authority

- a) It promotes uniformity of decisions
- b) It promotes integration throughout the organization
- c) It facilitates personnel leadership

Disadvantages of centralization of authority

- a) It increases the burden at the top levels of management
- b) Decisions are made not at the point where the work is being done leading to delays in decision making
- c) Quality decisions may not be arrived at because the managers at the top may be so busy to think about the problems in details.
- d) Centralization does not allow wider participation in decision making.

Decentralization of authority

It refers to dispersal/devolution of decision making to the lower levels of the organization.

Advantages of decentralization of authority

- a) Decision making process is transferred to the lower levels of management leaving the top managers in a position to concentrate on more important issues.
- b) It results in quick and timely decision making since managers at lower levels are not overburdened and as a result have more time to make decisions.
- c) It leads to development of managers and prepare workers for top positions.
- d) It motivates the workers in an organization because they are involved in the process of decision making.
- e) It leads to effective control and supervision.

Disadvantages of decentralization of authority

- a. The principle of unity of command is violated- according to these principle an employee
- b. Should receive orders from and be accountable to only one superior.

- c. It results in inconsistencies in decision making
- d. It increases the administrative expenses as a result of the monetary benefits given to officers to whom authority has been decentralized
- e. It brings about a problem in coordination as decisions are made at different points.
- f. The organization may lack able managers to run the decentralized units

1.12.5 Delegation of authority

Delegation is a process in which a superior assigns part of his authority to a subordinate in certain defined areas and make him responsible for results. The main features of delegation are as follows:

1. Delegation occurs when a manager grants some rights to a subordinate
2. A manager cannot delegate authority unless he himself possesses the authority
3. A manager does not delegate all his authority to subordinates - he transfers only part of his authority
4. Delegation does not imply reduction in the status of a manager
5. The manager retains the right to exercise control over the subordinate
6. A manager can reduce, enhance or take back the delegated authority
7. The manager still remains responsible for the delegated work

Reasons/importance for delegation

Need for delegation arises due to the following factors:

- 1) Through delegation an executive can transfer routine work to subordinates and thereby concentrate on more important tasks. This also reduces his workload.
- 2) Delegation enables the manager to benefit from the specialized knowledge and expertise of persons at lower levels.
- 3) Delegation pushes authority near the point of action. As a result decisions can be taken more quickly and without referring to higher authorities
- 4) Delegation improves the motivation and morale of subordinates by satisfying their need for recognition
- 5) Delegation is a means of training and developing future executives by giving them an opportunity to acquire skills through experience.
- 6) Delegation facilitates the growth and expansion of the organization. In the absence of delegation a firm cannot expand and grow.

DARREN GREGORY THE 9TH DELEGATE

Reasons why managers fail to delegate

- 1) A manager may have a feeling that his subordinates are not capable enough to do any work without close supervision.
- 2) An incompetent manager may avoid delegation because doing so will expose his incompetence and disorganization.
- 3) The manager may have developed personal contacts with all aspects of work and therefore may avoid delegation to sustain the deep seated habit pattern.
- 4) Some managers feel they are indispensable and want others to realize that they are important and must depend on him for decision making.
- 5) Since the manager remains accountable for the actions of the subordinates he may avoid the risk of leaving decision making to the care of subordinates.
- 6) A manager may feel delegation of authority will undermine his authority and deny him the importance enjoyed by him as the centre of authority.

Why subordinates do not accept delegation

- 1) Fear of risks and responsibilities associated with delegation. Subordinates may consider it safer to carry out decisions handed down to them by superiors than to make decisions themselves.
- 2) Fear of criticism for making mistakes
- 3) Fear that adequate information and resources may not be available to them to carry out their decisions.
- 4) Lack of confidence in their ability to discharge new responsibilities.
- 5) If delegation of authority is not accompanied by suitable incentives,

1.12.6 Responsibility and accountability

Responsibility

It is the obligation of a subordinate to carry out the duties assigned to him. By accepting delegated authority, a subordinate incurs a responsibility to use the authority as desired by the delegation

Accountability

It is the obligation of the subordinate to render a formal report (an account) to the superior on discharge of his responsibility. In other words it is to be responsible for one's conduct in respect to obligation fulfilled or unfulfilled.

Review questions

1. Some managers in certain organizations in Kenya what could be the possible source of their powers?
2. Managers sometimes find it difficult to delegate part of their duties to subordinates. Why is this so?
3. Discuss the pros and cons for both centralization and decentralization of authority

Further readings

1. Kreitner R. Kinicki A and Buelens M.(1999). Organizational behaviour. England, McGraw hill
2. Saleemi N.A.(1986) Principles and practice of management. Nairobi. Saleemi publishers

REFERENCES

1. Armstrong, M. (2006).A handbook of Human resource management practices (10th ed.). London: Kogan page.
2. Bitte, L.R.et al (1984). Introduction to business: Business in action 4th ED., London, Letts Educational Ltd.
3. Bruce R.J. (1996). An integrated approach to business studies.songapore.Longman.
4. Carpenter G.C (1987). The business success formula. Heinemann.
5. Danks, S.(1996), Business studies 3rd Ed. London, Letts Educational Ltd.
6. Desler, G. (2003). Human Resource Management. (9th Ed.).New Jersey: Prentice Hall.
7. Eyre, E.C. (1994). Mastering basic management
8. Gichira, R.N.(2000). Commerce for Kenya. Nairobi. Macmillan Kenya limited
9. Hammond, S. (2000), business studies. Longman crop limited
10. Kibera, F.N.(1996). Introduction to business Kenyan perspective. Nairobi Kenya literature bureau.
11. Kreitner R. Kinicki A and Buelens M.(1999). Organizational behaviour. England, McGraw hill
12. Mark, A. (19870). Business studies, Edinburg. W & R chambers
13. Rukunga (1999). Excelling in Business, Nairobi. Focus
14. Rwabutoga,.G.R. and Spencer((1986). A text book of commerce. Nairobi. Heinemann Kenya Limited.
15. Saleemi N.A.(1986) Principles and practice of management. Nairobi. Saleemi publishers
16. Sooks, H.L.and Williams, J.C. (2005). Management and organizations

DARREN GREGORY THE 9TH DELEGATE

DARREN GREGORY THE 9TH DELEGATE